

Japan Consumer & European General Retail & Japan Semiconductors

Seven & i Holdings Deep Dive: So, what is going on? SoftBank for defense, Żabka for growth



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The throne is still for sale — but the king spent the week buying reasons to keep sitting on it. The value of Seven & i lies not in growth but in the saleability of the throne itself. In one week, management delivered both halves of its answer: up to ¥300bn (US \$1.9bn) in from a SoftBank-led coalition — not an acquisition but a takeover defense — and six days later, several hundred billion yen out for a double-digit stake in Żabka (ZAB.PW), Poland's largest convenience chain. Defense and growth, two halves of the same sentence. This report grades whether the king can execute both.

The moves are necessities, not options. Traffic is still negative ([−0.9%] in Q1) with price hikes papering over emptier stores; SG&A inflation has broken the franchise model's operating leverage; North America remains an unreformed fuel business — and management now adds a third continent, with a thin bench of global operators and a U.S. turnaround behind schedule. The asymmetric structure holds: downside floored by the memory of ACT's ¥2,700 (¥1,900–2,000), upside stacked with a returning buyer, Itochu, and a conditional SoftBank lid. But new shares in, capital out, and a ¥2tn buyback underneath leave management owing shareholders proof that the sequence adds up. Market-Perform, PT ¥2,100.

For the counterparties, the same week reads better. Żabka gets expertise and help from the world's largest CVS operator, a vote of confidence in its international expansion ambition, and a lighter PE overhang (free float 52%) — close to a pure tailwind. Outperform, PT PLN 30. SBG's wallet is untouched, while the prize is the missing bottom layer of Son's Physical AI stack: a 22,000-store laboratory where AI gets graded daily, at scale. Outperform. **Three companies, one week, one test: Seven must prove it, Żabka gets paid either way, and SoftBank pays almost nothing to find out.** The price tag has not come off the throne...

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	17 Jul 2026	Price Target	TTM Rel. Perf.	Adjusted EPS				Adjusted P/E (x)		
			Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
3382.JP (Seven & I)	M	JPY	2,080.00	2,100.00	(32.7)%	JPY	118.81	121.70	123.48	17.5	17.1	16.8
9984.JP (SoftBank)	O	JPY	5,424.00	11,200	52.9%	JPY	872.47	282.49	159.10	6.2	19.2	34.1
ZAB.PW (Zabka Group SA)	O	PLN	31.10	30.00	36.7%	PLN	1.10	1.16	1.62	28.3	26.8	19.1
JPL			2,545.21									
EDME			1,592.62									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

3382.JP estimate is Reported EPS; 3382.JP valuation is Reported P/E (x);

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

We rate Seven & I **Market-Perform** with PT=¥2,100.00.

We rate SoftBank **Outperform** with PT = ¥11,200.

We rate Zabka **Outperform** with PT = PLN 30.00

VALUATION COMPS TABLE

EXHIBIT 1: Valuation Comps

	Mkt Cap		EV		P/E		P/B		EV/EBITDA		ROE		PEG		EPS Growth		OPM		Div. Yld.	
	(USD mn)	(USD mn)	(USD mn)	(USD mn)	LTM	1BF	LTM	1BF	LTM	1BF	LTM	1BF	FY25-FY27	FY25-FY27	FY25-FY27	FY25-FY27	1BF	LTM	1BF	
Fast Retailing	154,410	146,371	46.5x	43.0x	38.0x	8.9x	8.4x	7.3x	25.3x	22.7x	20.4x	21.5%	20.6%	20.2%	2.0x	21.2%	18.7%	0.7%	0.9%	
Ryohin Keikaku	15,104	14,703	35.2x	31.4x	27.7x	5.8x	5.4x	4.7x	18.1x	16.5x	15.1x	18.4%	18.9%	18.7%	1.1x	28.2%	11.0%	0.7%	0.9%	
Japanese Apparel Retailers			40.9x	37.2x	32.9x	7.4x	6.9x	6.0x	21.7x	19.6x	17.8x	19.9%	19.7%	19.5%	1.6x	24.7%	14.8%	0.7%	0.9%	
Asics	22,494	22,595	31.2x	26.6x	23.3x	11.2x	9.1x	7.4x	19.6x	16.1x	14.4x	41.0%	39.2%	35.9%	1.1x	24.4%	18.7%	0.7%	0.9%	
Mizuno	1,803	1,695	15.3x	14.4x	13.3x	1.8x	1.5x	1.4x	10.4x	9.5x	8.9x	11.1%	10.8%	11.0%	2.0x	7.2%	9.0%	1.6%	1.8%	
Yonex	1,530	1,432	18.9x	16.6x	15.2x	2.8x	2.5x	2.2x	11.5x	10.6x	10.8x	16.2%	15.4%	14.9%	1.4x	11.7%	10.2%	0.9%	1.1%	
Japanese Sportswear			21.8x	19.2x	17.3x	5.2x	4.4x	3.7x	13.8x	12.0x	11.4x	22.8%	21.8%	20.6%	1.5x	14.4%	12.7%	1.1%	1.3%	
Food & Life	7,748	8,778	42.6x	33.9x	28.6x	10.7x	8.1x	6.7x	17.0x	13.8x	12.1x	28.8%	27.4%	26.0%	0.9x	36.7%	10.0%	0.3%	0.4%	
Kura	826	1,063	36.9x	36.3x	32.3x	1.9x	2.0x	2.0x	10.8x	10.4x	10.0x	5.4%	5.3%	5.7%	7.0x	5.2%	2.2%	0.6%	0.9%	
Saizeriya	2,181	1,919	27.6x	23.1x	20.3x	2.5x	2.4x	2.2x	7.0x	8.3x	7.7x	9.9%	11.0%	11.3%	1.1x	21.1%	6.6%	0.4%	0.5%	
Zensho	9,101	10,659	33.4x	27.1x	23.7x	4.2x	4.1x	3.6x	12.7x	11.0x	10.0x	14.9%	14.9%	15.5%	n.a	n.a	6.9%	0.8%	0.9%	
Monogatari	1,228	1,239	25.9x	22.1x	19.5x	4.4x	3.7x	3.2x	11.6x	10.6x	10.6x	16.3%	17.3%	17.2%	0.8x	16.7%	7.6%	0.8%	0.9%	
Skiyaki	4,205	4,780	38.1x	32.5x	30.0x	3.6x	3.3x	3.0x	9.2x	8.6x	8.2x	9.8%	10.5%	10.6%	1.9x	16.7%	7.1%	0.8%	0.9%	
Ohsho	1,177	1,045	21.0x	22.1x	21.0x	2.4x	2.2x	2.1x	12.4x	-	-	10.7%	10.2%	10.2%	n.a	n.a	8.6%	1.9%	1.9%	
Japan Food Services			32.2x	28.2x	25.1x	4.3x	3.7x	3.3x	11.5x	10.4x	9.6x	14.0%	13.8%	13.8%	2.4x	21.2%	7.0%	0.9%	0.9%	
PPIH	16,993	18,522	23.9x	21.3x	19.8x	3.8x	3.3x	2.9x	13.5x	12.4x	11.7x	16.9%	16.3%	15.6%	1.1x	20.3%	7.3%	1.0%	1.1%	
Aeon	23,487	39,132	40.7x	45.3x	36.5x	3.1x	2.9x	2.7x	9.3x	8.8x	8.3x	8.5%	6.9%	8.5%	2.5x	18.2%	2.9%	1.0%	1.1%	
Seven & i	28,661	48,631	15.8x	16.6x	15.8x	1.3x	1.3x	1.2x	8.1x	9.0x	8.8x	8.2%	7.5%	7.7%	5.0x	3.3%	4.1%	2.5%	3.0%	
Trial	2,291	4,352	39.9x	32.5x	20.9x	2.8x	2.4x	2.2x	11.1x	9.8x	8.8x	7.3%	9.0%	12.3%	1.4x	22.7%	2.7%	0.5%	0.6%	
Izum	1,306	1,986	12.0x	11.1x	10.5x	0.7x	0.7x	0.6x	6.6x	6.6x	6.3x	6.0%	6.0%	6.2%	n.a	n.a	4.8%	3.0%	3.1%	
Kobe Bussan	4,509	3,830	17.4x	18.2x	16.7x	3.4x	3.0x	2.7x	12.9x	11.6x	10.7x	21.7%	17.6%	16.6%	3.4x	5.4%	7.5%	1.1%	1.3%	
Life Corp	1,357	1,348	11.5x	11.0x	10.6x	1.3x	1.2x	1.1x	5.2x	4.9x	4.7x	12.3%	11.6%	11.0%	n.a	n.a	2.9%	2.7%	2.9%	
Cosmos Pharmaceutical	3,105	3,211	15.6x	15.4x	14.5x	1.8x	1.6x	1.5x	7.8x	7.4x	6.9x	11.8%	10.9%	10.6%	4.1x	3.8%	3.7%	1.3%	1.3%	
Matsukiyoocookara	6,166	5,457	17.6x	15.9x	15.0x	1.8x	1.7x	1.6x	8.2x	7.9x	7.5x	10.5%	10.9%	10.9%	1.9x	8.4%	7.7%	2.0%	2.4%	
Sundrug	2,803	2,670	14.2x	12.9x	12.2x	1.8x	1.4x	1.4x	6.6x	6.0x	5.7x	11.3%	11.5%	11.4%	1.6x	8.1%	5.7%	3.4%	3.7%	
Sugi	3,413	3,218	17.2x	15.6x	14.1x	1.8x	1.6x	1.5x	7.5x	6.8x	6.2x	10.9%	11.0%	11.2%	-1.8x	-8.8%	4.8%	1.2%	1.3%	
Kusuri no aoki	2,254	2,814	21.7x	18.6x	17.1x	2.6x	2.3x	2.1x	10.7x	10.4x	9.9x	11.9%	13.2%	13.2%	1.5x	12.6%	4.3%	1.5%	1.6%	
Japanese Grocery Retailers			20.6x	19.6x	17.0x	2.2x	2.0x	1.8x	9.0x	8.5x	8.0x	11.4%	11.0%	11.3%	2.1x	9.4%	4.9%	1.8%	2.0%	
Inditex*	193,448	188,010	26.9x	23.8x	21.8x	8.9x	7.6x	7.1x	14.4x	13.1x	12.2x	34.0%	32.5%	33.4%	2.1x	11.6%	20.5%	3.2%	3.5%	
H&M*	27,065	33,095	21.3x	19.7x	18.4x	7.7x	6.1x	5.8x	8.4x	7.9x	7.7x	34.9%	31.8%	33.3%	2.4x	8.2%	8.7%	4.3%	4.6%	
Europe Apparel Retailers			24.1x	21.8x	20.1x	8.3x	6.9x	6.5x	11.4x	10.5x	9.9x	34.4%	32.1%	33.4%	2.2x	9.9%	14.6%	3.7%	4.1%	
Adidas*	37,461	43,206	23.6x	16.9x	14.1x	5.3x	4.8x	4.2x	11.6x	9.8x	8.7x	23.8%	27.7%	28.9%	0.5x	31.2%	9.7%	1.5%	2.3%	
Puma*	4,971	7,283	-	-	35.6x	2.3x	2.7x	2.8x	-	13.8x	9.4x	-27.8%	-5.3%	-5.7%	-	-	-	1.3%	0.2%	
Europe Sportswear			23.6x	18.9x	16.4x	3.6x	3.7x	3.3x	11.6x	10.5x	9.9x	14.8%	11.7%	11.9%	0.5x	0.3x	5.5%	2.8%	1.2%	
Compass Group*	53,139	61,872	26.3x	19.6x	17.8x	6.7x	5.5x	4.8x	13.8x	11.2x	10.4x	27.1%	28.1%	29.0%	0.7x	26.3%	7.5%	2.2%	2.6%	
Ellor*	582	1,924	7.9x	7.5x	6.5x	0.6x	0.5x	0.5x	4.6x	4.2x	3.9x	7.9%	6.9%	8.3%	2.0x	3.8%	3.0%	2.0%	3.1%	
AmRest	606	2,324	60.0x	12.4x	12.3x	1.5x	1.2x	-	5.2x	4.5x	4.5x	2.4%	12.8%	-	0.2x	67.3%	5.8%	2.8%	-	
Europe Food Services			17.1x	13.2x	11.9x	2.9x	2.4x	2.7x	8.1x	6.8x	6.4x	12.4%	16.2%	19.1%	1.0x	0.3x	5.4%	2.4%	2.8%	
Carrefour*	13,922	25,214	12.3x	9.2x	8.5x	1.1x	1.0x	1.0x	5.0x	4.7x	4.5x	2.9%	11.1%	11.2%	0.1x	103.4%	2.9%	5.9%	6.4%	
Tesco*	40,383	55,074	17.4x	15.0x	13.8x	2.7x	2.6x	2.5x	8.4x	7.9x	7.6x	15.5%	17.3%	17.8%	1.2x	12.3%	4.4%	3.0%	3.4%	
Europe Grocery Retailers			14.9x	12.1x	11.2x	1.9x	1.8x	1.7x	6.7x	6.3x	6.1x	9.2%	14.2%	14.5%	0.7x	0.1x	3.6%	3.8%	4.9%	
Gap	7,380	10,461	8.1x	8.2x	7.6x	2.0x	1.8x	1.6x	5.8x	3.7x	3.5x	27.6%	23.2%	23.1%	0.7x	11.2%	7.7%	3.3%	3.4%	
Abercrombie & Fitch Co.	4,326	5,013	8.2x	8.8x	8.0x	3.2x	2.5x	2.0x	4.3x	4.4x	4.3x	39.0%	32.2%	31.1%	1.3x	6.7%	12.1%	-	-	
American Eagle Outfitters	2,931	4,701	8.5x	9.5x	8.5x	1.8x	1.4x	1.2x	8.4x	4.5x	4.2x	18.0%	16.9%	17.0%	0.3x	35.8%	7.0%	2.9%	2.9%	
Ralph Lauren	23,099	24,043	22.6x	20.7x	18.9x	8.2x	6.6x	5.6x	17.0x	13.0x	12.1x	34.7%	33.8%	31.2%	1.3x	15.5%	16.8%	1.0%	1.0%	
U.S. Apparel Retailers			11.9x	11.8x	10.7x	3.8x	3.1x	2.6x	8.9x	6.4x	6.0x	29.8%	26.5%	25.6%	0.9x	17.3%	10.8%	1.9%	2.4%	
Nike*	86,120	68,128	21.3x	25.0x	20.0x	4.4x	4.5x	4.4x	15.0x	16.3x	13.8x	22.1%	16.7%	20.7%	8.5x	2.9%	7.1%	3.7%	3.7%	
Lululemon*	13,489	14,110	9.6x	10.7x	10.0x	2.9x	2.3x	2.0x	5.5x	5.2x	5.0x	32.0%	23.0%	21.1%	-2.0x	-4.4%	15.8%	-	-	
Under Armour	3,073	4,704	72.2x	48.8x	26.5x	2.2x	2.0x	1.8x	47.6x	14.7x	12.4x	-30.0%	4.1%	7.4%	-	-	3.2%	-	-	
Amor Sports	20,947	21,276	39.1x	26.0x	20.9x	3.1x	2.9x	2.5x	-	12.9x	10.9x	7.6%	12.1%	12.8%	0.5x	49.5%	14.2%	-	-	
On Holdings*	12,733	12,451	36.8x	19.7x	16.1x	5.2x	4.2x	3.4x	18.3x	12.8x	10.4x	15.5%	22.2%	21.8%	0.3x	67.9%	15.5%	-	-	
Deckers*	15,142	13,610	15.5x	14.1x	12.6x	6.1x	5.0x	4.1x	10.1x	9.5x	8.8x	40.8%	38.0%	37.0%	1.3x	10.8%	21.7%	-	-	
U.S. Sportswear			24.5x	24.1x	17.7x	4.0x	3.5x	3.0x	19.3x	11.9x	10.2x	14.7%	19.3%	20.1%	1.7x	25.2%	12.9%	3.7%	n.a.	
McDonald's*	194,295	248,006	22.1x	20.1x	18.5x	-	128.7x	44.8x	16.6x	14.3x	13.5x	-	-324.0%	65.7%	1.9x	10.8%	47.5%	2.7%	2.8%	
Chipotle*	43,870	49,244	30.7x	27.3x	23.2x	18.3x	13.6x	12.0x	21.7x	17.3x	15.2x	49.2%	57.2%	60.7%	2.1x	13.2%	15.1%	-	-	
Darden*	23,046	28,880	18.9x	17.6x	16.1x	10.4x	9.7x	8.8x	13.5x	11.0x	10.3x	53.4%	55.2%	56.4%	1.9x	9.5%	12.3%	3.0%	3.2%	
U.S. Food Services			23.9x	21.7x	19.3x	14.4x	11.6x	10.4x	17.3x	14.2x	13.0x	49.2%	n.a.	n.a.	1.9x	11.2%	24.9%	3.1%	3.0%	
Walmart*	914,781	984,876	42.6x	37.1x	33.1x	9.7x	8.1x	7.4x	22.0x	18.9x	17.3x	25.5%	22.1%	22.8%	3.0x	12.5%	4.6%	0.8%	0.9%	
Costco*	419,340	407,480	48.0x	42.1x	38.3x	12.5x	10.3x	8.7x	29.5x	25.8x	23.7x	29.2%	26.4%	24.7%	2.6x	16.3%	4.0%	0.6%	0.7%	
Target*	63,682	78,979	17.6x	16.2x	15.0x	3.9x														

DETAILS

COMPANY MODEL AND RECENT NOTE

SEVEN & I

- Company Model | [3382.JP / Seven & I Holdings](#)
- 14 Jul 2026 - [Physical AI meets the convenience store — from retail king to AI testbed: why SoftBank, KDDI, Itochu, and Mitsubishi all want in](#)
- 11 Jul 2026 - [Quick Take: SoftBank considers purchase of stake in Seven & I Holdings](#)
- 9 Jul 2026 - [Seven & I Holdings Q1: Fuel does the heavy lifting, stores inch forward](#)
- 30 Jun 2026 - [Japan Retail \(3\): Silver tsunami and cheap groceries - how drugstores became Japan's other discounter and GMS is falling](#)
- 26 Jun 2026 - [Japan Retail \(2\): From supermarket routine to discounter reality](#)
- 22 Jun 2026 - [Japan Retail \(1\): After the Long Winter, Japan Domestic Retail at an Inflection Point](#)
- 26 May 2026 - [Initiation Japan Consumer - The Devil wears Uniqlo: AI, savvy consumers, and the end of Hype](#)

ZABKA

- Company Model | [ZAB.PW / Zabka Group SA](#)
- 8 Jul 2026 - [Zabka: Q2/H1-26 Preview](#)
- 14 May 2026 - [European Food Retail: Growing the basket. Initiating coverage of Marks & Spencer, Zabka, B&M, Dino, Axfood, and Colruyt.](#)

SOFTBANK

- Company Model | [9984.JP / SoftBank Group Corp](#)
- 17 Jun 2026 - [Global Semis: The CPU Renaissance? Beneficiaries of a \\$223bn TAM...](#)
- 18 May 2026 - [SoftBank, Arm: From GenAI to Agentic AI; Initiating with Outperform Ratings](#)

SO, WHAT IS GOING ON?

(1) The facts: in six days, the kingdom's blueprint was redrawn. On July 10, talks were reported ([link](#)) under which SoftBank Corp (9434.JP, not covered; consolidated by SoftBank Group, 9984.JP, covered by David Dai), PayPay and Sumitomo Mitsui Card would invest up to ¥300bn (US\$1.9bn) in Seven & i — a third-party allotment (assumed, unconfirmed), c. 5% dilution, targeting a contract this summer. On July 16, Seven & i was reported to be in final-stage talks to acquire a double-digit percentage stake in Żabka, Poland's largest convenience chain, for several hundred billion yen — the sellers being the CVC-led private equity consortium. The first deal brings capital in; the second sends capital out. Underneath both, a ¥2tn buyback keeps running. Taken separately, each has a clean explanation — a defense, a growth investment. Taken together, they amount to management's consolidated answer to the one question that has hung over this company since ACT's approach in August 2024: **does Seven & i have a reason to exist as an independent company?**

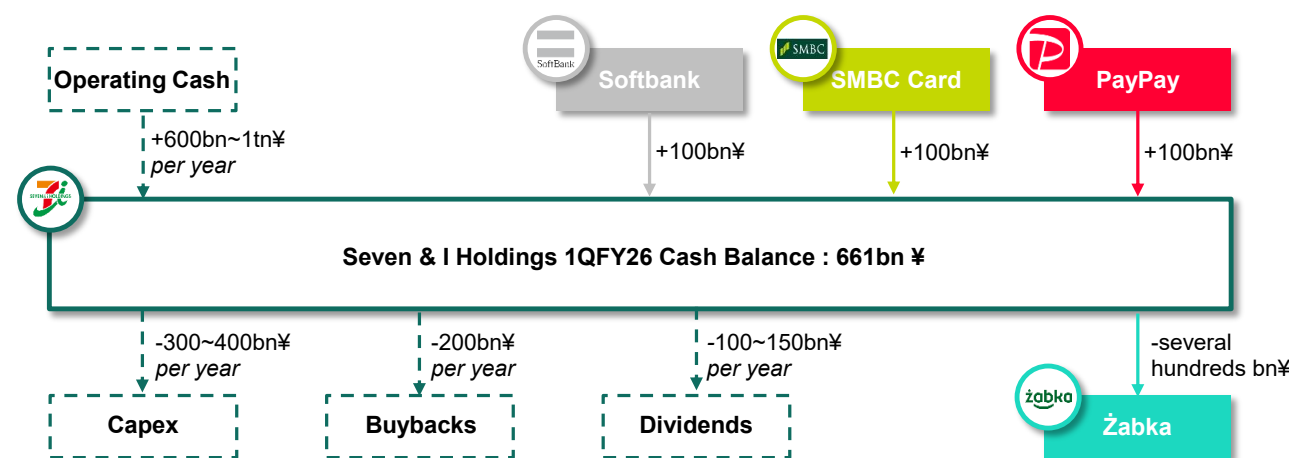
(2) Seven & i's position: defense and growth, bought in the same week. Recall the starting point. Having rejected ACT's ¥2,700 proposal, sold Ito-Yokado, gone pure-play CVS and installed its first foreign CEO, the company made one promise to the market: it could build value while staying independent. Reality has been unkind — domestic traffic declines papered over by price hikes, North American same-store sales negative and the IPO delayed, the stock 25% below ACT's number. Read

both moves in that context. Accepting the SoftBank coalition procures the digital and AI implementation capability Seven cannot build alone — and installs a friendly shareholder as a takeover defense. The Żabka stake buys the time a self-built European expansion would consume — a generation — and manufactures evidence for the "we grow better independent" narrative. The two deals are the defense half and the growth half of the same sentence. On capital policy, however, consistency is now the question. Issuing new shares to bring capital in (dilution), sending capital out for an overseas stake, and continuing a ¥2tn buyback underneath — money in, money out, buybacks underway — each is defensible alone, but bundled they raise the question of who is managing this company's cost of capital, and how. And the execution resources — above all, people who can run businesses overseas — remain thin while management runs a U.S. turnaround, a European expansion and a domestic refurbishment program simultaneously. The rightness of the reasons, the ability to execute, and the discipline of capital allocation: the list of things management must prove grew to three this week.

(3) Żabka's position: growth capital, an exit, and a vote of confidence. Żabka is Poland's most accomplished modern CVS — c. 13,000 franchised stores, food-forward, a 13.1% Adjusted EBITDA margin, and a management team that openly aspires to "expand into new countries" (building on its initial expansion into Romania). But it carried two constraints. First, capability: Żabka is not capital constrained (even after spending PLN 1.7bn of capex in 2026 we expect it to generate another PLN 1.7bn in free cashflow). Its ability to successfully deliver multi-country expansion beyond Romania is not yet proven, especially in fragmented Central and Eastern European markets. Second, the shareholder register: the CVC-led PE consortium holds c. 48%, its investment horizon is finite, and a 52% free float has weighed on the stock as an overhang (the lock-up expired this May). Seven's investment could help both at once: an injection of operating capability from the world's largest CVS operator could accelerate the multi-country plan (and raise investors' confidence in it); buying shares directly from the PE holders lightens the overhang (even if it doesn't provide additional capital to Żabka); and above all, it is a vote of confidence — the global king choosing the European challenger. From Żabka's side, this is close to a pure tailwind — which is why our European team maintains Outperform, PT PLN 30.

(4) SoftBank / SBG's position: a testing ground acquired, wallet untouched. The coalition's investment sits at the subsidiary and affiliate layer — SoftBank Corp, PayPay, SMCC — leaving SBG's own wallet untouched. What it gains has three layers. On the surface, payments: wiring PayPay's 74mn registered users into Seven's 22,000 stores, and the connection to the V-point economy. In the middle, data: Japan's highest-frequency purchasing touchpoint. At the deepest layer, the missing bottom of the Physical AI stack Masayoshi Son has been assembling — the brain (OpenAI), the body (ABB), the compute (Arm/ Ampere/Graphcore) — **the one place where AI meets the physical world daily, at scale, and gets graded.** Seven's moment of weakness is SoftBank's best possible entry point: the last independent king — which once declined Son's proposal to Itochu and clung to going it alone — has finally opened the gate. One caveat: the Żabka deal sits outside the coalition's scope, but if Europe consumes Seven's capital and management bandwidth, the speed of AI implementation — the very thing that determines this partnership's value — is affected too. The three deals are connected at a single point: Seven's capacity to execute.

EXHIBIT 2: Żabka acquisition likely financeable from existing cash resources, although partial short-term debt financing remains possible



Operating cash, capex, buybacks and dividends are Bernstein estimates.
Source: Company reports, Nikkei news, Bernstein estimates and analysis.

SEVEN & I HOLDINGS: THRONE FOR SALE (MARKETPERFORM, PT= ¥2,100)

TOTAL SCORE: 2.3 / 6.0

Market-Perform, price target ¥2,100, implying approximately 1% upside. The investment case for Seven & i reduces to an asymmetric risk structure in which weak fundamentals coexist with powerful embedded takeout optionality.

INVESTMENT THESIS

(1) Fundamentals are clearly weakening — domestic CVS faces structural saturation and stagnating footfall (SEJ same-store customer count -0.9% last fiscal year, and still negative at -0.9% in Q1 with little sign of improvement), while SEI's FY2025 same-store decline of -0.4% led to the IPO postponement. Consolidated OPM is essentially flat at around 4.2%, and the three structural assumptions supporting operational improvement (fresh food, Seven Premium, 7NOW) each appear fragile.

(2) Downside is structurally anchored by the takeout floor — applying a 30–40% discount to ACT's October 2024 proposal of ¥2,700 per share (¥7tn in aggregate) for deal-execution risk, regulatory uncertainty, and the passage of time yields ¥1,900–2,000 per share, broadly consistent with the trading levels before SoftBank news.

(3) Upside is already in progressive execution through restructuring led by Itochu (trading house, parent of FamilyMart, Japan's #2 CVS chain) — Itochu's October 2025 acquisition of a 16.35% stake in Seven Bank (with intention to raise up to 20%) substantively launched operational cooperation in the financial domain, and the concurrent full consolidation of Itochu Shokuhin is accelerating the redefinition of FamilyMart from a "standalone CVS subsidiary" to a "core strategic asset of the Itochu group" — preparation for deeper next-stage engagement in joint procurement, logistics, and private-brand development. A revived ACT-type foreign approach operates as an independent upside source, compounding the optionality.

(4) The SoftBank coalition's proposed investment is a conditional lid — anchoring a friendly holder adds a stakeholder to both scenarios in (2) and (3), temporarily lowering their probability of activation. But the defense holds only on successful execution; absent results, the lid reopens. Moreover, dilution of c. 5% (price-dependent) runs in the opposite direction to the ¥2tn buyback program, leaving management with the burden of proving that partnership value exceeds the dilution (see Valuation). **And with the Žabka report six days later, this defense can no longer be assessed on its own — the defense (SoftBank) and the growth (Žabka) are two halves of the same independence case, and the market will grade them together.**

(5) The Žabka minority stake is the right map, with unproven execution — strategically, it is the correct prescription for the weaknesses we have flagged in our Global Growth assessment: the European blank space (c. 360 stores, all Nordic) and the concentration of profit in North America. Europe's best modern CVS (c. 13,000-plus franchised stores, 13.1% Adjusted EBITDA margin, mature store opening capability running at c. 1,300 stores/year) is a realistic gateway to the 100,000-store target for 2030. Three reservations are required. First, structure — unlike the Speedway-type full acquisition, this is a minority stake with limited earnings contribution; until size, price, funding source and governance terms (board seats, options for further purchases) are disclosed, strategic merit and financial merit should be assessed separately. Second, execution — the bench of managers who can run businesses overseas is structurally thin, and a third continent is being stacked on top of a delayed U.S. turnaround. Whether management's span of control holds is unproven, and Žabka's own retreat from the Czech Republic (2011) is a precedent for the difficulty of cross-border expansion even within Eastern Europe. Third, capital allocation — new shares in, an overseas stake out, buybacks continuing underneath imposes a new burden of proof: the discipline of cost-of-capital management. The company maintains its ¥1.4tn buyback guidance unchanged, but with the North American IPO delayed adding uncertainty to funding sources, the credibility of delivering both shareholder returns and growth investment is now in question. We assume ¥1.0tn cumulative over five years.

Monitoring indicators:

- (a) Terms of the SoftBank coalition contract: issue price, dilution, concrete partnership scope (target domains for AI implementation; nanaco/PayPay integration design)
- (b) The character of AI implementation: does it stop at showcases (experimental stores), or move toward chain-wide penetration of core systems (ordering, inventory, markdowns, labor scheduling)?

- (c) Żabka terms on disclosure: stake size, price (premium to market), funding source (cash on hand vs. debt), and governance terms in the shareholders' agreement — in particular, whether options for further purchases exist, which determines whether this deal is an entry point or an endpoint
- (d) The overall capital-allocation picture: buyback pace maintained or slowed, rating trajectory (Moody's A3, negative outlook), and consistency with the SEI IPO timeline
- (e) The trend in SEJ domestic same-store customer count (sustainability of papering over traffic declines with price)

OVERVIEW

Seven & i Holdings is the world's largest CVS chain by store count, with approximately 87,000 stores globally, and following the 2025 divestment of its supermarket and specialty retail operations, FY2026 marks its first full year operating as a CVS-focused group.

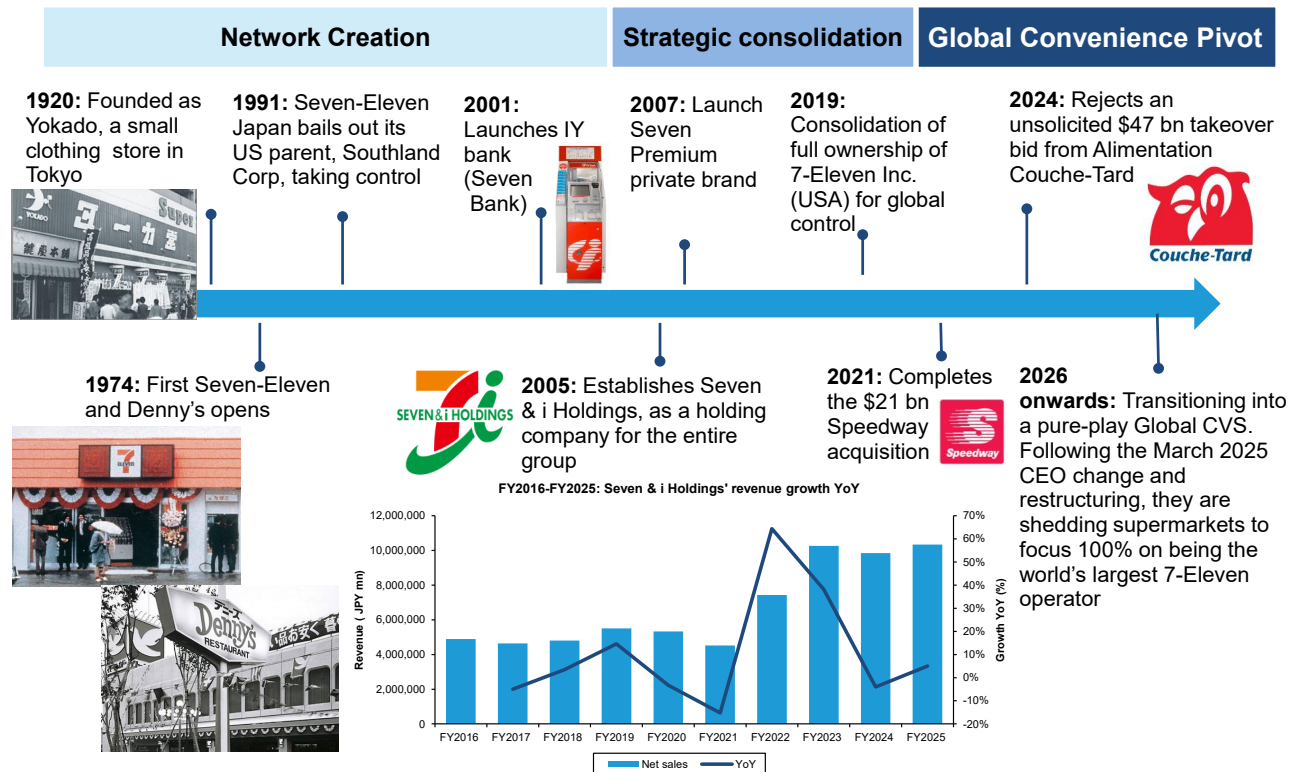
The Seven-Eleven brand originated in the United States (Exhibit 3), but the operational excellence that defines it today — private-brand food product development, POS analytics, and just-in-time logistics — was built at Seven-Eleven Japan (SEJ). The format traces back to Southland Corporation, founded in Texas in 1927. Ito-Yokado, a major Japanese retail chain, acquired the domestic operating license in 1973 and opened the first Japanese store in 1974. Southland filed for bankruptcy in 1990; Ito-Yokado and SEJ secured roughly 70% control during the 1991 restructuring and completed the full acquisition in 2005. In the same year, Seven & i Holdings was established as the group holding company.

The direct catalyst for structural change was an approximately \$47bn acquisition proposal from Canada's Alimentation Couche-Tard (ATD, operator of Circle K, Exhibit 4) in August 2024. The bid was withdrawn in July 2025 but functioned as external pressure that accelerated fundamental restructuring. In September 2025, the company divested its supermarket and specialty retail operations — centered on Ito-Yokado — to Bain Capital. In May 2025, Stephen H. Dacus became the group's first non-Japanese CEO. Dacus previously served at Fast Retailing (parent of Uniqlo, 2005–2007) before moving to Walmart, where he became CEO of Walmart Japan Holdings in 2011. Management identifies FY2026 as the first full year operating as a CVS-focused group. And in July 2026, talks were reported under which SoftBank, PayPay and Sumitomo Mitsui Card would invest in the company — moving the story of Seven & i's capital structure, which began with the ACT approach, into its next chapter.

The most important feature for understanding the earnings structure is the geographic variation in the franchise model. In Japan, SEJ operates with a 99.3% franchise ratio, and under the primary contract type, up to 76% of store-level gross profit is recognized as royalty income at the parent level. Utilities and supply chain costs are borne by the parent, which means same-store gross margin improvement flows to parent operating profit at near-zero marginal cost. This is the structural foundation behind the domestic CVS operating margin of ~24–25% — one of the highest in global retail. In contrast, SEI in North America shifted its portfolio toward direct operation through the 2021 Speedway acquisition and now runs a hybrid model of 43% company-operated and 57% franchised stores. Fuel accounts for approximately 73% of operating revenue (Exhibit 6), making the earnings driver fundamentally different from Japan (Exhibit 7).

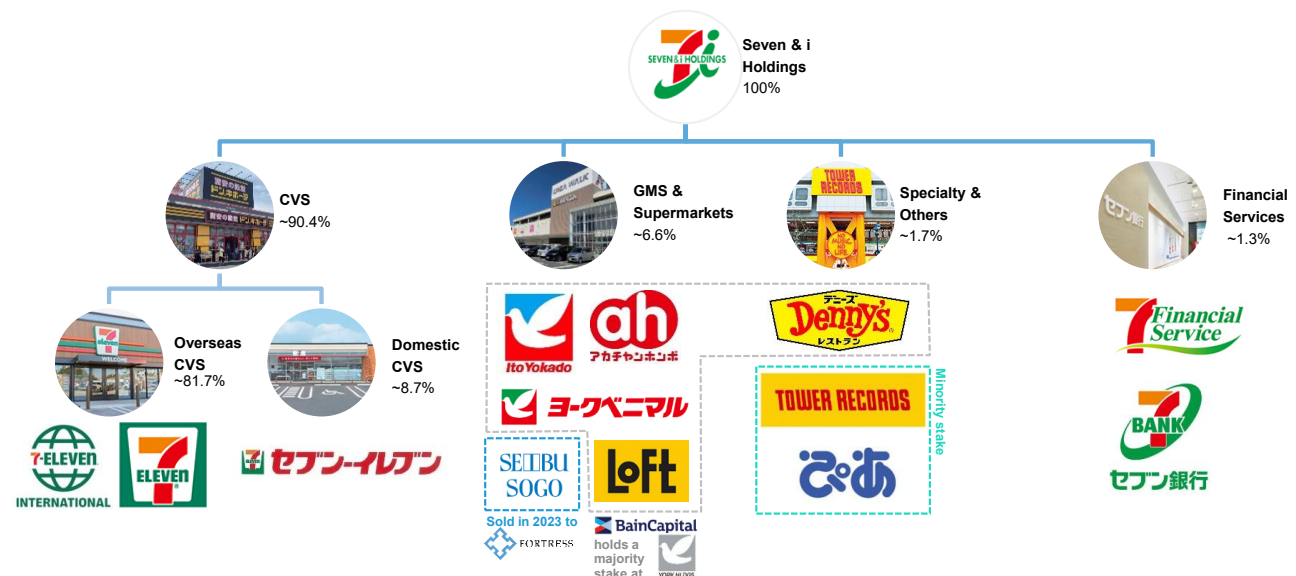
The domestic competitive landscape is one in which SEJ's competitive advantage is eroding within a saturated market. The top three CVS operators in Japan (SEJ, FamilyMart, Lawson Exhibit 8) hold over 94% market share on a sales basis, and the axis of competition has shifted from store count to per-store productivity, food differentiation, and digital ecosystems. In this environment, SEJ experienced what the industry press described as "Seven losing alone" during 1H FY2025. Full-year existing-store sales recovered to +1.2%, but customer count declined 0.9% — meaning the recovery was ticket-driven, sustained by +2.1% growth in average transaction value. This pattern has persisted into early FY2026: June 2026 existing-store sales of +0.0% were the product of customer count –3.5% and average transaction +3.6% (Exhibit 9 and Exhibit 10). Traffic — the most fundamental measure of retail health — continues to erode, indicating that the "losing alone" episode was not a single-quarter miscalculation but evidence of a persistent competitive quality gap

EXHIBIT 3: The brand originated in the U.S., but the operational excellence that defines Seven-Eleven today, fresh food, POS analytics, and just-in-time logistics, was developed by Seven-Eleven Japan.



Source: Company reports, Company websites, Bernstein analysis

EXHIBIT 4: The failed Couche-Tard bid acted as a catalyst, Seven-Eleven is shifting toward a pure-play CVS model, having spun off its GMS, supermarket, and specialty store businesses into York Holdings, now 60% owned by Bain Capital.

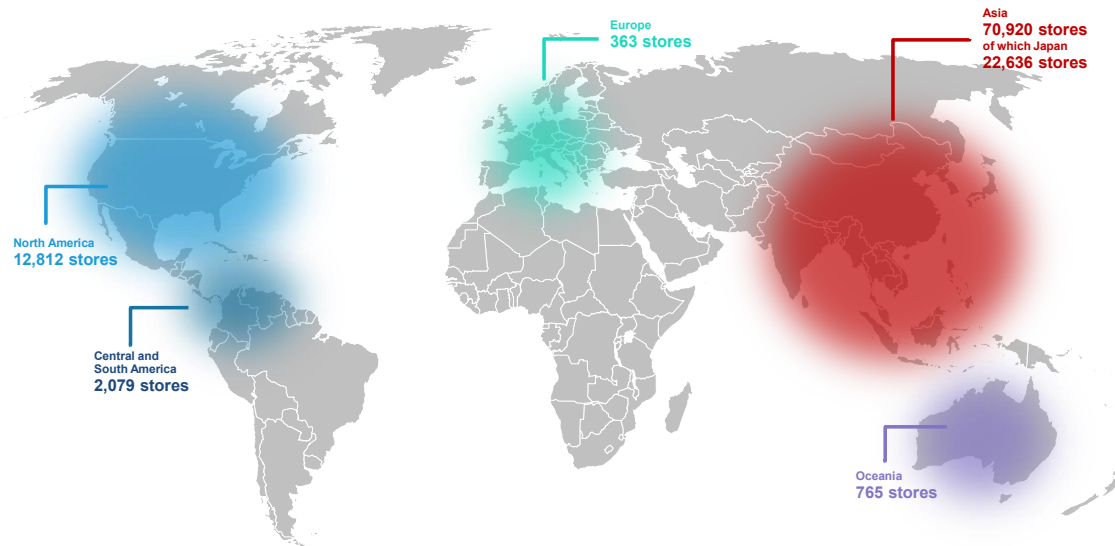


FY2025 Operating Revenue

Source: Company website, Company reports, Bernstein analysis.

EXHIBIT 5: **Seven-Eleven operates a massive physical empire of over 85,000 stores across 5 continents**

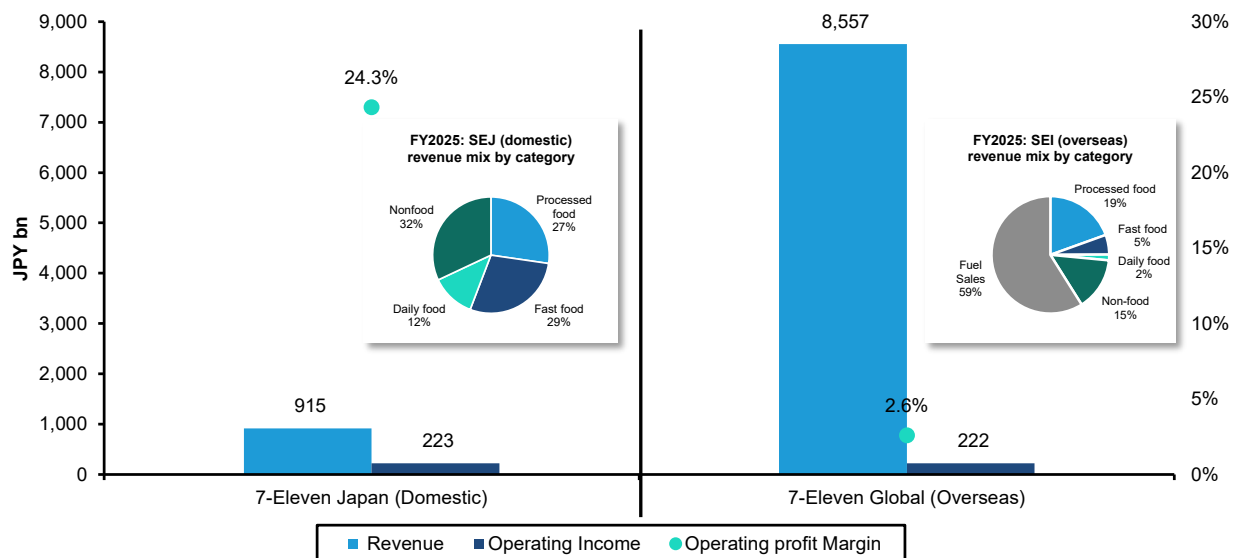
FY2025: Seven-Eleven total stores: 86,939



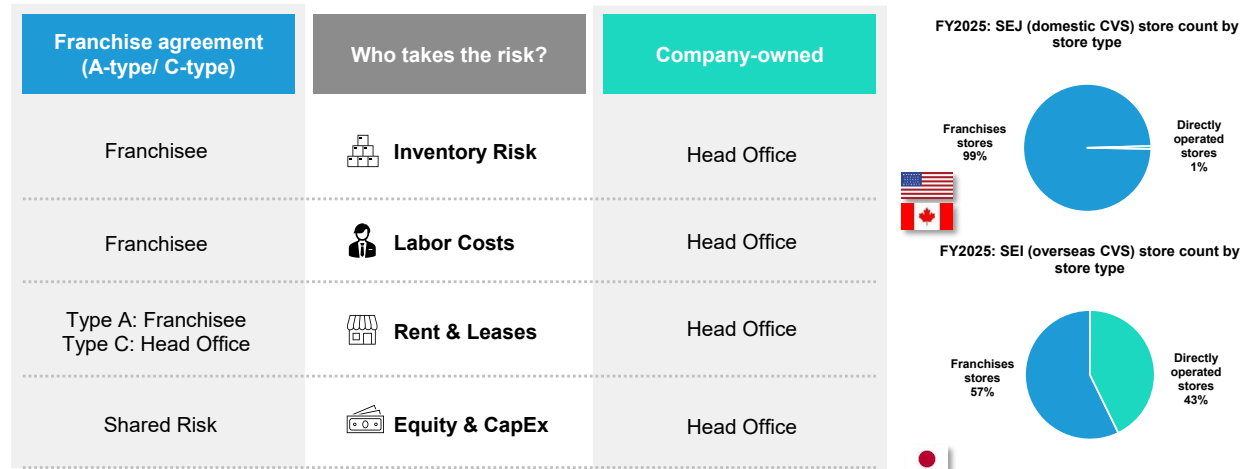
Source: Company reports, Bernstein analysis.

EXHIBIT 6: **North American fuel drive global scale, but the Japanese model protects the bottom line**

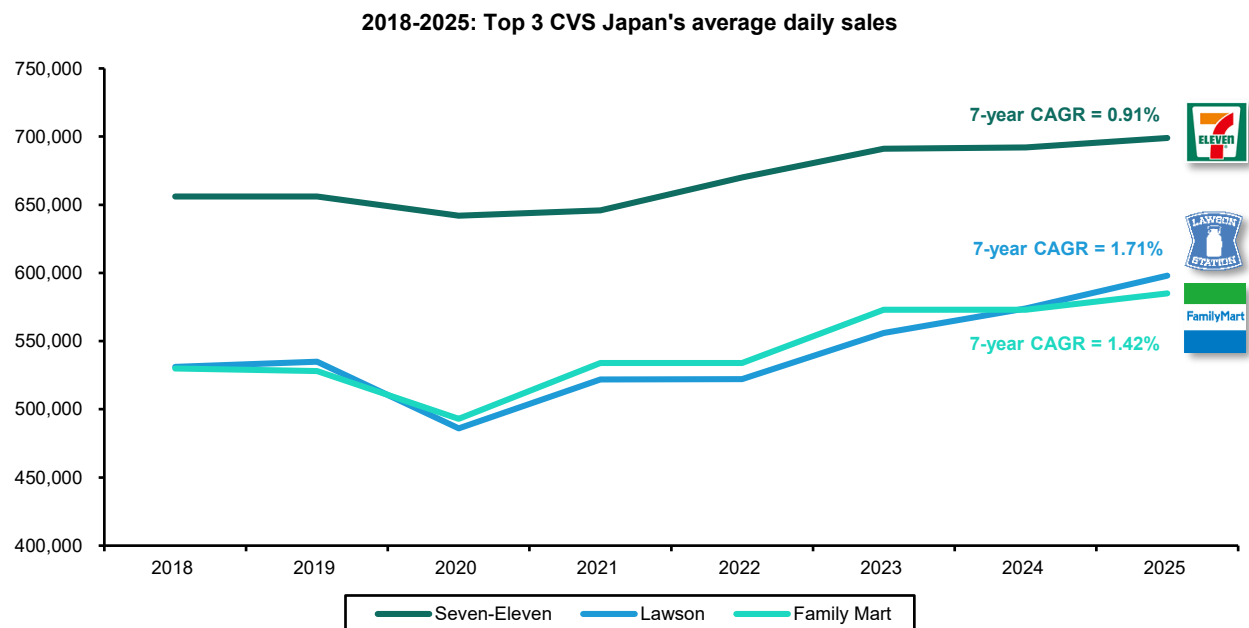
FY2025: 7-Eleven domestic and overseas operating income



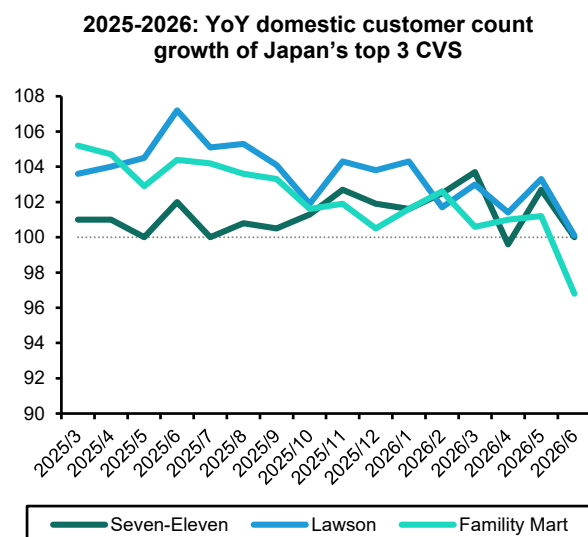
Source: Company website, Bernstein analysis.

EXHIBIT 7: **This is because the Japanese near-full franchise architecture shifts operational risk to franchisees**

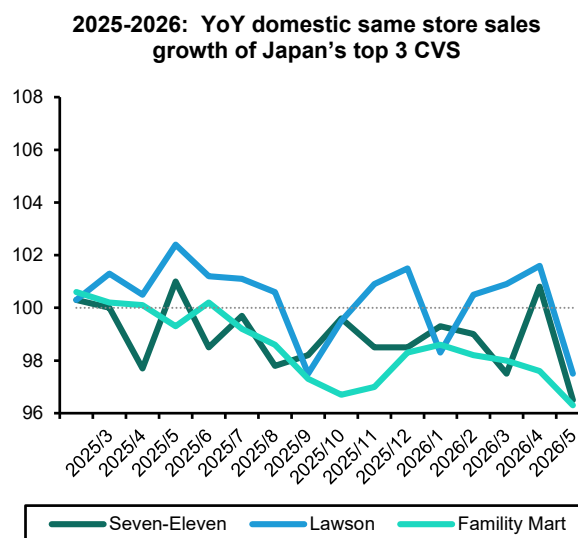
Source: Company websites, Company reports, Bernstein analysis.

EXHIBIT 8: **Seven-Eleven still leads in average daily sales among convenience-store chains, but the gap has been gradually narrowing in recent years.**

Source: Diamond Chain Store, Company reports, Bernstein analysis.

EXHIBIT 9: Looking at customer traffic, Lawson is the only one managing to hold up within the CVS format


Source: Company reports, Bernstein analysis.

EXHIBIT 10: The top 3 CVS seems to show a solid YoY growth - largely led by increased ticket size per customer driven by inflation


Source: Company reports, Bernstein analysis.

FORGE Framework Evaluation
EXHIBIT 11: Score 2.3/6.0 - Where Seven & i stands on the framework—steady at 3 on the asset-based pillars, with the core CVS metrics waiting for reacceleration

	Footfall Driver ^{x2}	Operating Leverage ^{x2}	Retail Control	Global Growth	Base Score	Execution Multiplier	Total
	2	2	3	3	2.3	X1.0	2.3

Source: Company reports, Bernstein analysis.

FORGE Framework: Where Our Coverage Stands Today

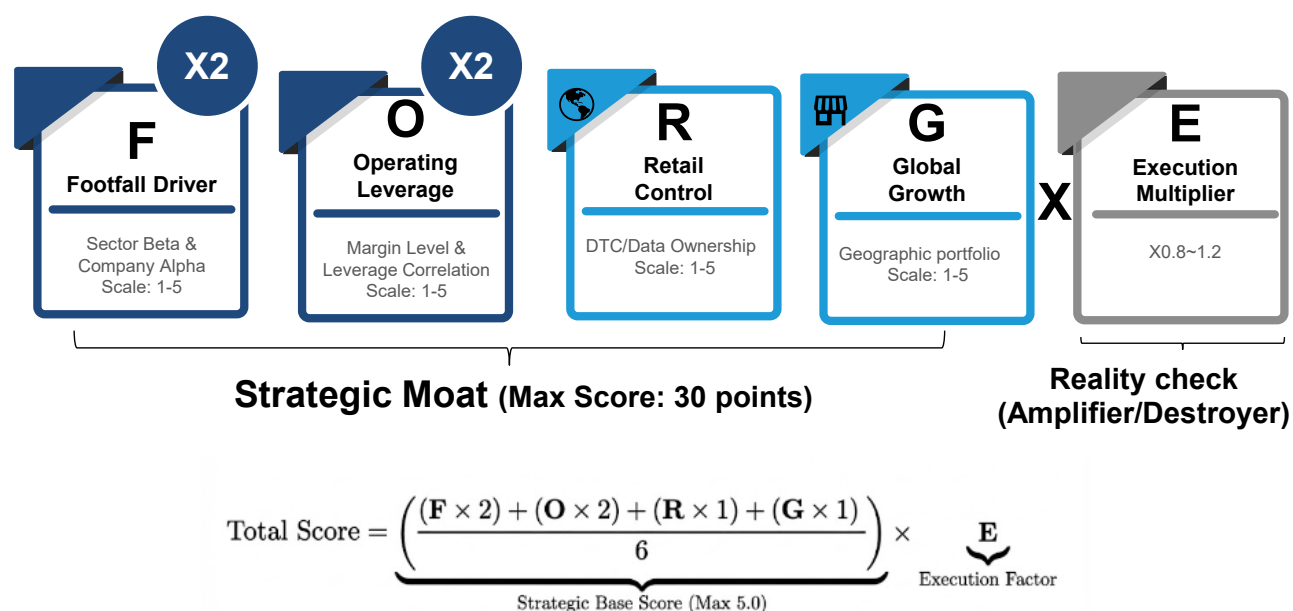
In our initiation report, we introduced the **FORGE framework** (Exhibit 12) to evaluate domestic retailers (see the [initiation report](#) for full framework details). The framework focuses on five factors: **Footfall** (the ability to attract customers), **Operating Leverage** (the ability to convert sales growth into profit growth), **Retail Control**, **Global Growth**, and **Execution Multiplier**. Among these, Footfall and Operating Leverage are the two core pillars that drive value creation and help identify which companies are best positioned to capture industry profits during the current market shakeout.

PPIH stands out as the clear leader. It is the only domestic retailer in our coverage universe that scores the maximum rating on both core pillars. Its operating margins are several times higher than those of the supermarket sector, and its ability to capture market-share gains is unmatched among discount retailers. Despite these strengths, the stock still trades below what its structural advantages would suggest.

AEON is at the opposite end of the spectrum. While it remains a solid and defensible business, we believe its valuation already reflects more than the full value of its underlying strengths.

Seven & i falls in between. The company faces weaker fundamentals, but this is partly offset by takeover and corporate-action optionality already reflected in the share price. As a result, we see a balanced risk-reward profile, supporting a **Market-Perform** rating rather than a compelling investment thesis (Exhibit 13).

EXHIBIT 12: Strategic Moat for penny businesses is built on Footfall and Operating Leverage – Execution is the reality check that amplifies or destroys



Source: Bernstein analysis.

EXHIBIT 13: FORGE verdict for Domestic Retailers – PPIH alone scores maximum on both anchor pillars

	x2 Footfall Driver	x2 Operating Leverage	Retail Control	Global Growth	Base Score	Execution Multiplier	Total
	5	5	3	1	4	X1.1	4.4
	2	2	3	3	2.3	X1.0	2.3
	3	2	3	3	2.7	X1.0	2.7

Source: Company reports, Bernstein analysis.

1. FOOTFALL DRIVER (WEIGHT 2*) – SCORE 2

Both Japan and North America have reached structural saturation, and within each market SEJ and SEI are losing their competitive edge. Neither Sector Beta nor Company Alpha is present – this is why the score is 2.

Sector Beta: Both the Japanese and North American CVS Industries Have Lost Their Growth Engine

Japan's CVS industry has reached structural saturation on both store count and customer traffic, and the era of traffic-led growth is effectively over. Store count has hovered in the 55,000–56,000 range for the past several years (peaking at 55,931 in 2021, standing at 56,007 as of November 2025), eliminating store-count-driven expansion as a meaningful growth lever. Traffic has stagnated in parallel. After recovering to +0.9% YoY in 2024, existing-store customer counts turned negative again, posting seven consecutive months of YoY decline from July 2025 onward and reaching –1.3% in November 2025. Industry-

wide existing-store sales have held positive for nine consecutive months on the back of +3.7% average-transaction growth, but actual foot traffic — the most fundamental measure of format vitality — has stalled across the industry.

The North American CVS market is structurally stagnant as well. According to NACS (National Association of Convenience Stores) data, U.S. in-store merchandise sales reached a record \$335.5bn (+2.4%) in calendar 2024, but fuel revenue contracted 5.7% to \$501.9bn, pulling total industry sales (fuel + in-store) down to \$837.4bn from \$859.8bn in 2023. The engine behind in-store growth is foodservice — now 28.7% of in-store sales and 39.6% of in-store gross profit — led by food-forward regional chains such as Wawa, Casey's, and Sheetz. This is fundamentally different in character from the fuel-dependent portfolio that 7-Eleven expanded into through the 2021 Speedway acquisition. Evaluating 7-Eleven's Sector Beta on the same terms as Wawa or Casey's would overstate its structural position.

Company Alpha: SEJ Leads on Level, Loses on Direction

Turning to firm-specific competitive strength, SEJ remains the industry leader on level but is clearly losing on direction. SEJ retains the top position in absolute per-store daily sales (FY2024: SEJ ¥699k vs. major-peer average ¥574k), and the common perception that "Seven is strong" is correct as a statement of level. But what matters for an investment decision is direction, not level. In 1H FY2025 (March–August 2025), the divergence became tangible.

EXHIBIT 14: Although SEJ has the highest average daily sales per store, it is falling behind FamilyMart and Lawson in overall competitiveness.

	FY2025		
	Seven-Eleven Japan	Family Mart	Lawson
Same store sales YoY	↑ 101.2%	↑ 103.0%	↑ 102.1%
Customer count YoY	↓ 99.1%	↓ 98.8%	↑ 100.8%
Operating Profit YoY	↓ 94.4%	↓ 90.4%	↑ 105.3%
Average daily sales per store	699,000	585,000	598,000

Source: Company reports, Bernstein analysis.

SEJ existing-store sales subsequently recovered, accelerating from +0.6% in Q1 to +0.9% in Q2, +1.5% in Q3, and +2.0% in Q4, landing at +1.2% for the full year — but the quality of the recovery is fragile. Full-year metrics show customer count –0.9% / average transaction +2.1%, and early FY2026 data (March–May 2026, 1QFY26) shows existing-store +2.0% = customer number –0.9% + average transaction +2.9%. June continued the pattern of offsetting traffic declines with ticket increases continues (customer number –3.5% and average purchase +3.6%); the ticket-driven structure has not changed.

More serious still is that SEJ's historical competitive moat itself is under simultaneous attack. SEJ's three pillars of advantage — POS-based ordering precision, private-brand food product development, and systematic store guidance through OFCs (Operations Field Counselors) — are all being directly targeted by competitors. Lawson is rolling out AI-based ordering systems across its entire network, aimed squarely at SEJ's replenishment-accuracy moat. FamilyMart is combining the FamiPay ecosystem (27M downloads), the FamiPay Card launched in September 2025 (up to 5% discounts), and its convenience apparel business to attack brand relevance and customer frequency. SEJ's response — the "Ureshii Ne" (Happy Price) value campaign, ~8,000 Seven Café Bakery locations, freshly made counter items +8.3%, and 7NOW delivery +28.2% — is multi-pronged but centered on product and pricing. It operates on a different dimension from the infrastructure-level competition (AI-driven operations and digital ecosystems) that Lawson and FamilyMart are deploying.

North America is negative on both level and direction. SEI merchandise same-store sales have been negative since FY2023, ending FY2025 at –0.4%, while food-forward competitors continue to outperform. SEI is structurally positioned outside the growth segment of the industry.

2. OPERATING LEVERAGE (WEIGHT 2x) – SCORE 2

Topline growth is not translating into structural expansion of parent-level operating profit. In Japan, SG&A inflation is breaking down the low-variable-cost premise of the franchise model; overseas, fuel markets — an external variable — dominate results, leaving no visible operating leverage from internal improvement.

SEJ should, in theory, be a textbook operating-leverage story, but five years of data show it is not (Exhibit 15). As a franchise-driven business (99.3% franchise ratio), parent-level revenue consists mostly of royalty income from franchisees. Once

franchise infrastructure is in place, marginal costs should stay low and same-store improvements should flow directly to parent operating profit. Reality diverges sharply from theory — over five years, operating profit has slightly declined and operating margin has fallen for two consecutive years, from the FY2023 peak of 28.1% to 24.8% in FY2025 (Exhibit 16). Chain-wide sales are growing at a 2.0% CAGR, yet parent-level operating profit is contracting.

The cause is structural SG&A inflation that outpaces revenue growth by 3–4x. From FY2021 to FY2025, SG&A rose 10.5% versus operating revenue growth of just 2.9%. In FY2025 alone, advertising (+16.6%), rent (+2.3%), and IT / maintenance expenses (+9.2%) weighed on operating profit. With gross margin steady at 31.7–31.8%, the fact that operating margin keeps declining roughly 1 ppt (percentage point) per year indicates that the "low-variable-cost" premise of the franchise model is breaking down. Rising wages, IT investment, and store-network maintenance costs function as a new fixed-cost category that neutralizes the classic "same-store growth → parent profit expansion" logic.

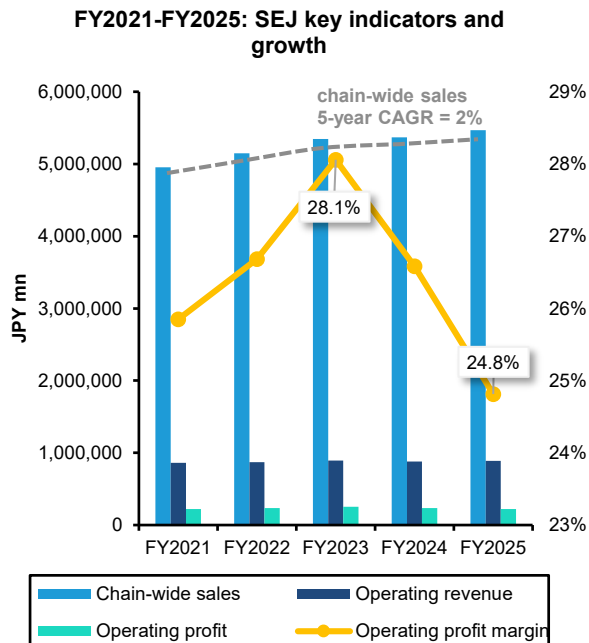
Assessing SEI's operating leverage is structurally difficult, because fuel markets — not internal operations — drive the business. With a 43% direct-store ratio and fuel sales at roughly 73% of operating revenue, SEI's performance is dominated by three external variables: fuel CPG (Cents Per Gallon of gross profit), gallons sold, and crude oil prices. The five-year operating profit path is a market-driven swing, not a structural trajectory: \$2,046M → \$2,890M (FY2022 peak) → \$2,172M (FY2024 trough, 25% below peak) → \$2,221M. The FY2022 peak converged Speedway integration benefits with a sharp CPG expansion (34.5¢ → 43.9¢) — a special environment that should not be treated as a run-rate baseline.

Strip out fuel and the underlying merchandise business shows negative leverage, not positive. Merchandise same-store sales have been negative since FY2023, gross margin has declined 0.8 ppt, and direct-store operating costs have risen. Operating profit holds up only because fuel CPG has stabilized at elevated levels (40¢ range), SG&A discipline kicked in during FY2025 (at 99.0% of the prior year), and fuel vertical integration added roughly \$70M in EBITDA (earnings before interest, taxes, depreciation, and amortization). The core issue is that performance is driven by external market variables, not by internal operating improvements — a 10¢ move in CPG translates to a \$1.2B swing in gross profit. The merchandise business alone is structurally negative-leverage; the overall business holds positive momentum only because fuel-market tailwinds offset the weakness underneath (Exhibit 17 and Exhibit 18).

Putting the two segments together, topline growth is not translating into structural expansion of parent-level operating profit — that is the conclusion five years of data support. Domestic chain-wide sales grow at a 2.0% CAGR while parent operating profit flatlines; overseas operating revenue grows at a 3.1% CAGR but operating profit swings within a ±25% range depending on fuel markets. The clearest proof is consolidated operating profit: ¥420.9bn in FY2021, ¥422.9bn in FY2025 — essentially flat over five years despite significant topline growth in both segments.

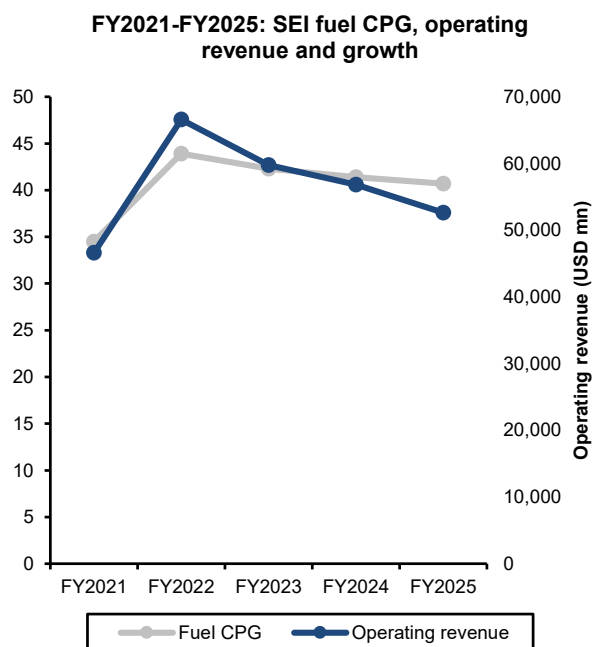
Improvement paths exist, but they remain at the planning stage, not the track-record stage. At SEJ, IT investment efficiency and franchisee-support cost optimization could deliver results. At SEI, merchandise gross margin improvement (FY2026 plan: 33.4% → 33.8%), fresh food expansion, continued SG&A discipline, and cumulative fuel vertical integration could drive structural improvement from FY2027 onward. None of this, however, is yet proven in the five-year data. Should the SoftBank partnership materialize, AI demand forecasting and labor-saving robotics would be aimed at precisely this SG&A structure — the new fixed-cost layer of wages, IT, and store-network maintenance. But expectations need a precedent, and Lawson–KDDI's two years provide one: what moved profit was the unglamorous chain-wide implementation of an AI ordering system, while experimental stores remain at four locations with no quantified effects disclosed. We do not credit the prescription into the score — results first. The score of 2 stands.

EXHIBIT 15: SEJ's chain store sales continue to grow, but operating margin peaked in FY23 and has been declining since



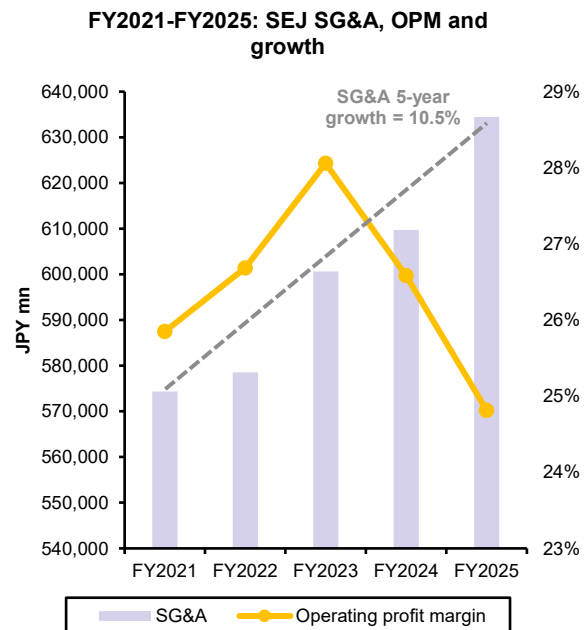
Source: Company reports, Bernstein analysis.

EXHIBIT 17: SEI's revenue is highly sensitive to changes in fuel CPG



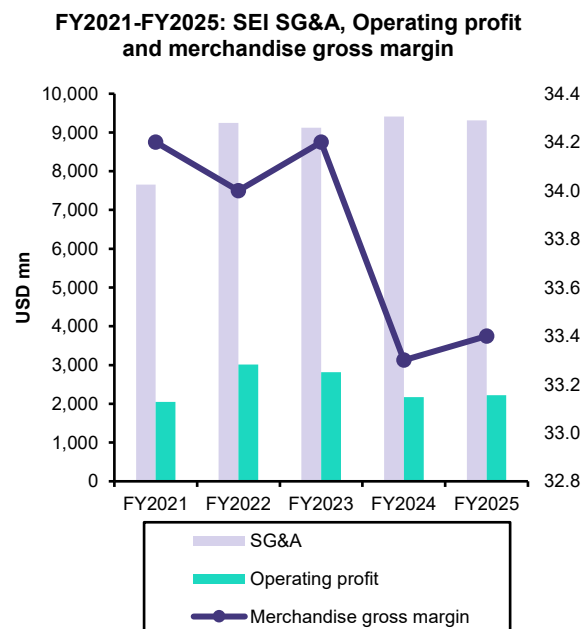
Source: Company reports, Bernstein analysis.

EXHIBIT 16: Sales growth is no longer sufficient to offset rising SG&A, leading to continued margin pressure



Source: Company reports, Bernstein analysis.

EXHIBIT 18: Even excluding fuel, the merchandise business shows no positive operating leverage, as gross margin has been declining since FY2023 while SG&A continues to rise



Source: Company reports, Bernstein analysis.

3. RETAIL CONTROL – SCORE 3

Domestic franchise quality is secured through centralized back-end systems, but roughly half of the global store base operates under licensee arrangements outside of direct control, leaving quality uniformity unguaranteed. Meanwhile, O2O integration has clearly pivoted toward delivery, while legacy BOPIS (Buy Online, Pick-up In Store) assets are contracting. Strengths (domestic quality, delivery) and weaknesses (overseas quality, considered-purchase access) roughly offset each other.

Looking first at DTC and channel control, the structural gap between domestic and overseas is decisive (Exhibit 19). In Japan, Seven & i resolves the paradox of "franchising without directive authority" through centralized back-end infrastructure. The parent holds no formal command authority over franchisees (contractually positioned as a "counselor"), and operational decision rights sit with the franchisee. In practice, however, operational quality is underpinned by product development via Team MD, the temperature-controlled shared distribution network, a dedicated manufacturing network, and POS- and SKU level inventory management systems. Quality uniformity is secured through a combination of "soft contracts and hard infrastructure."

Overseas, the structure is fundamentally different. Roughly 60% of global 7-Eleven stores operate under area-licensee arrangements, where local majors run operations to their own standards. Quality uniformity is not guaranteed, and profit contribution to the consolidated group is limited. Even within North America, company-operated, franchised, and independent licensee (Mexico) stores coexist, meaning quality control is not structurally assured. In short, Seven & i's retail control functions centrally in Japan but is structurally porous overseas — that is the current reality.

On multi-access readiness, the pattern is asymmetric: strong on speed-of-access occasions, weak on considered-purchase occasions. Domestic stores provide 24/7, walkable coverage, while in North America, 7NOW — Seven & i's proprietary quick-commerce delivery service — reaches more than half of the U.S. population. The physical store network functions as an on-demand digital access point, extending physical density into instant digital reach. This is a genuine strength.

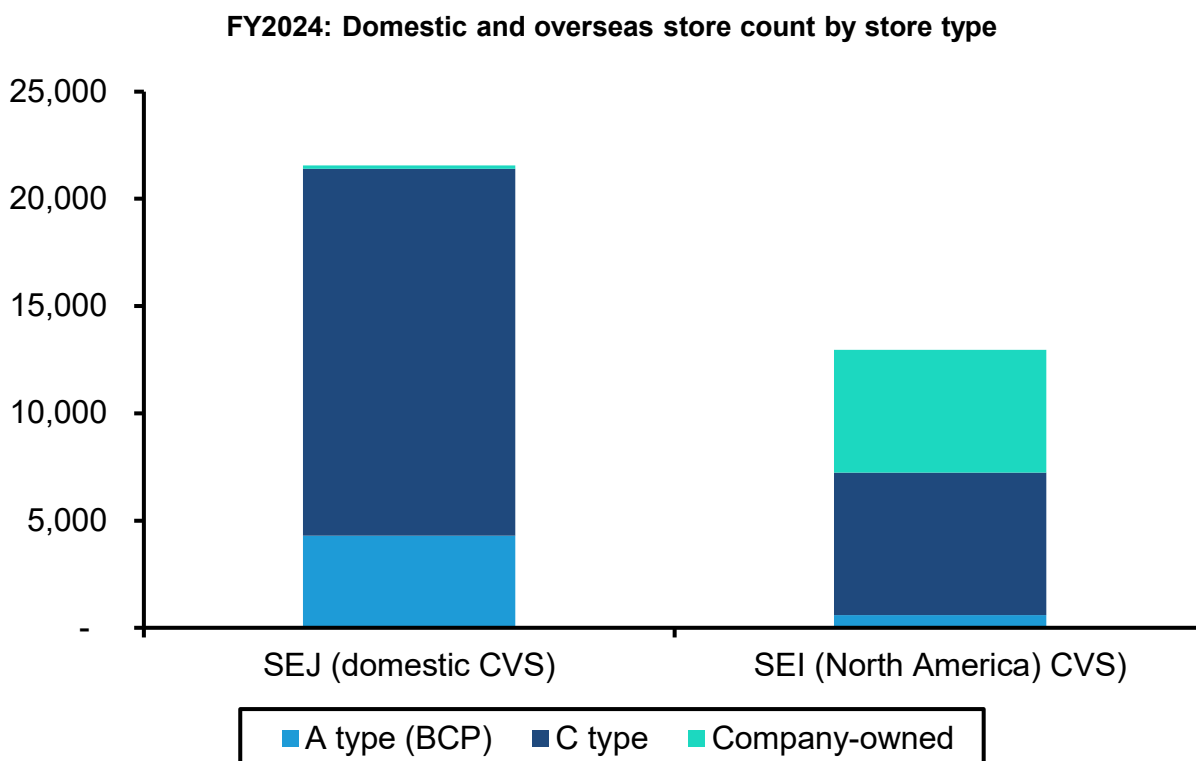
The considered-purchase side, however, remains immature. The SIP Store (Seven-Eleven SIP Store, a new format roughly twice the size of a standard 7-Eleven, targeting fresh food and larger basket occasions) opened its first location in early 2024 and moved to a multi-store test phase in early 2025, but a credible alternative to supermarkets or general-merchandise stores has yet to materialize.

On O2O synergy, 7NOW sits at the core while legacy BOPIS assets are contracting. 7NOW is a fully integrated model — proprietary stores, proprietary products, proprietary app — expanding on both sides of the Pacific. Unlike competitors that rely on external platforms (FamilyMart and Lawson use Uber Eats and similar services), Seven & i operates entirely within its own ecosystem, which is the core of its differentiation. In North America, SEI maintains an industry-leading average delivery time of approximately 28 minutes, with same-store delivery sales growing at double-digit rates. In Japan, SEJ completed nationwide rollout in February 2025, delivery sales are growing sharply year-on-year, and the business targets ¥120bn in sales by fiscal 2030. Proprietary products account for the majority of top-selling delivery items, meaning delivery complements rather than substitutes for the proprietary product strategy — this is the decisive difference from simple last-mile outsourcing.

Meanwhile, legacy BOPIS assets are contracting. The 2025 shutdown of the Ito-Yokado Net Supermarket and the divestment of SST (Seven Specialty Store, the group's specialty retail business) to Bain Capital sharply reduced the group's BOPIS infrastructure. 7i Lockers (a parcel pickup-and-send service at stores) remain at the pilot stage. The physical-digital integration architecture is nearly complete in its shift from group-wide BOPIS to delivery-led (7NOW) — that is the current reality. This void in payments and digital — an area where in-house development has been effectively sealed off since the 7pay failure — is precisely the backdrop to the reported SoftBank coalition investment.

Taken together, Seven & i's retail control is above industry standard in domestic quality management and delivery integration, but structurally weak in overseas quality uniformity and considered-purchase access. Strengths and weaknesses roughly offset each other, which supports a score of 3.

EXHIBIT 19: Japan operates under a near-fully franchised model, while North America has a roughly even mix of franchised and company-owned stores.



A type: Land and Buildings Provided by Franchisees

C type: Land and Buildings Provided by Seven-Eleven Japan
Source: Company reports, Bernstein analysis.

4.GLOBAL GROWTH - SCORE 3

Seven & i has clearly succeeded in earning real money abroad — FY2026 guidance has overseas CVS operating profit surpassing domestic CVS. But the company has not succeeded in replicating the Japan-quality business model overseas, and the asymmetric structure in which virtually all overseas profit is concentrated in North America remains unresolved (Exhibit 20). World-class in scale, but unfinished in model transplantation and geographic diversification — this is why the score is 3.

Starting with the "earning abroad" dimension, the achievement is clear. FY2026 guidance calls for overseas CVS operating profit of ¥247.8bn against domestic CVS of ¥224.2bn, cementing a structure in which overseas has become the majority contributor to group profit. The global 7-Eleven network exceeds 87,000 stores, with more than 36,000 operated by consolidated subsidiaries and more than 50,000 by licensees. This is a scale of brand deployment that cannot be achieved through product exports alone, and it makes 7-Eleven arguably the only Japanese-origin CVS with genuine global reach.

On profitability, a direct comparison of P&L operating margins is misleading. Because the composition of the denominator is fundamentally different between SEJ and SEI, the more meaningful benchmark is operating profit margin against total chain-wide sales. On this basis, SEJ runs at approximately 4.0% and SEI at approximately 3.4% (Exhibit 21) — both at comparatively high profitability levels by retail industry standards. SEI is not a low-margin overseas subsidiary; as an operator of the U.S.-local model combining gas stations and convenience stores, it competes on par with local peers.

But the issue lies elsewhere. The SEI that Seven & i acquired and invested into is fundamentally a "U.S.-style CVS-plus-fuel" business, not a replica of the "SEJ model" refined in Japan and characterized by high per-store daily sales, high food mix, and high franchisee profitability. This structural gap has become particularly pronounced since the 2021 Speedway acquisition. Management's transformation plan explicitly calls for "Japanizing" the U.S. store base through fresh food, PB products, and store

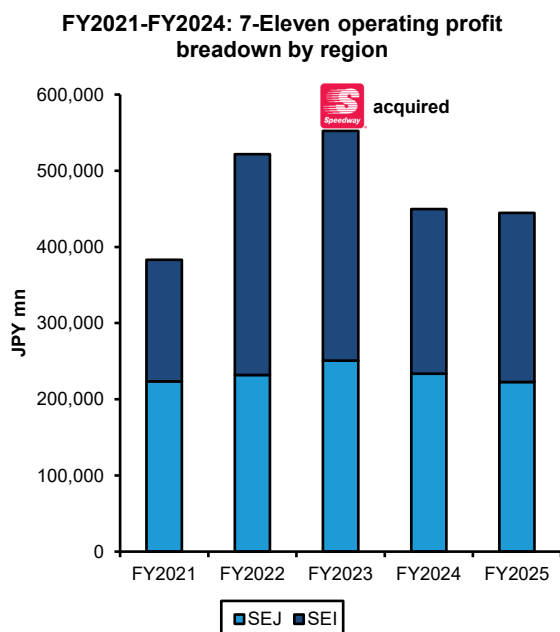
remodeling, but the actual transplantation of the Japanese model remains at an early stage. "Earning real money abroad" and "replicating the Japan-quality business model abroad" must be evaluated separately — the former has been achieved, the latter has not. That is the honest assessment of where things stand today.

A further, more serious structural concern is the extreme concentration of overseas operations in North America. Virtually all overseas CVS profit comes from North America, meaning that "overseas business" is in practical terms synonymous with "North American business." In key Asian growth markets — China, Thailand, South Korea, Taiwan, Indonesia, the Philippines — 7-Eleven has a wide presence, but the vast majority of stores are run by licensees (local partners), and their contribution to consolidated profit is limited. The licensees themselves are highly profitable in their local markets, but these profits do not flow through to Seven & i's consolidated P&L. In other words, the brand has spread globally, but profit capture is almost entirely confined to North America — an asymmetric structure in which brand reach and profit capture do not align.

Efforts to mitigate this concentration risk are underway — the 2024 consolidation of the Australian business as a subsidiary, and expansion initiatives by 7-Eleven International LLC (a strategic subsidiary established by Seven & i in 2021 to develop licensed markets and drive overseas expansion) into markets such as India. But none of these has yet reached the scale needed to meaningfully dilute the dependence on North America.

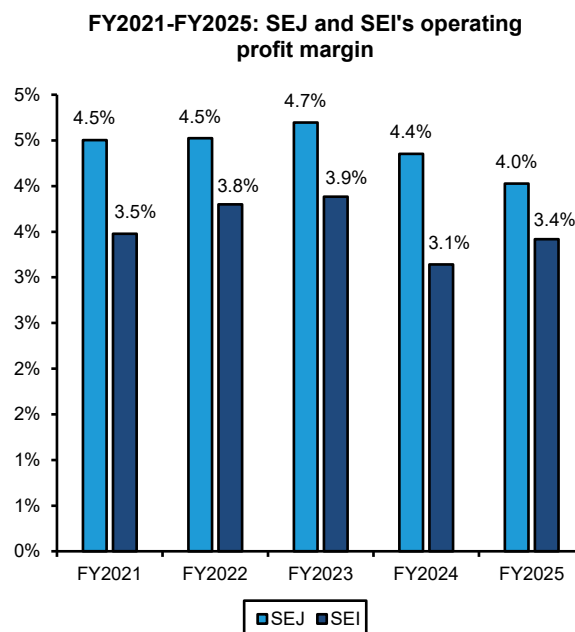
Taken together, Seven & i stands out in the retail industry for the sheer scale of its global footprint, but remains unfinished in the qualitative transplantation of its model and in geographic diversification. The score of 3 credits the achievement of "earning abroad" while recognizing that two challenges — replicating Japan quality overseas, and reducing North American dependence — are what prevent an upgrade to 4.

EXHIBIT 20: **North America has more than 50% contribution to the operating profit**



Source: Company reports, Bernstein analysis.

EXHIBIT 21: **Both SEJ and SEI operate at high profitability by retail standards**



Margin to total chain store sales

Source: Company reports, Bernstein analysis.

THE EUROPEAN CAMPAIGN: BUYING THE MAP

The map being bought is a good one. Żabka is Poland's most accomplished modern CVS, covered by our European team at Outperform (PT PLN 30): 12,339 franchised stores (end-2025, of which 173 in Romania), a food-forward format with recent focus and growth around grab-and-go meals and coffee, and numbers that back the quality — sales to end customers +14.1% in FY2025, an adjusted EBITDA margin of 13.1%, a franchisee margin of 17.0%, net debt/EBITDA (ex. leases) of 1.0x. An engine that opens 1,300-plus stores a year while generating PLN 1.7bn of free cash flow stands in flat contrast to Seven's own domestic CVS business, where traffic keeps shrinking. The company also runs ahead on the other theme of this report,

AI implementation: Żabka Nano is Europe's largest autonomous-store deployment (c. 50 stores), the app counts 10mn digital active customers, and Żabka Ads runs screens across 4,000-plus stores. There are elements here Seven could stand to learn from — and the transaction is best framed as buying, for several hundred billion yen, the generation of time that filling the European part of the 100,000-store target through organic openings would consume.

Why a minority stake rather than a full acquisition? The balance sheet answers. Speedway (2021, \$21bn, 7.1x EV/EBITDA) left the lesson of full acquisitions: leverage surged, and Moody's this year downgraded Seven & i to A3 (negative outlook), citing the risk appetite visible in the ¥2tn buyback, with 7-Eleven's debt/EBITDA at 3.7x. A double-digit minority stake is the only executable entry under these financial constraints. The sell-side structure also helps: the CVC (37.6%) and Partners Group (10.0%) consortium faces a finite investment horizon, the lock-up expired this May, and a design in which Seven takes shares directly off the PE holders lightens the 52%-free-float overhang — rational for Żabka's shareholders too. But minority comes at a price: limited consolidation, marginal earnings pickup even under the equity method, and governance that depends entirely on the shareholders' agreement. Until board seats, consent rights and — above all — **options for further purchases** are disclosed (is this an entry point or an endpoint?), the strategic value should not be priced in.

And buying the map is not the same as governing the territory. Execution risk has three layers. First, people — Seven & i is structurally short of managers who can run businesses overseas, and a third continent is being stacked on a delayed U.S. turnaround (negative same-store sales, a postponed IPO, 645 store closures). Second, the market — Poland's Sunday trading ban remains in force (Żabka trades through the franchise-owner exemption, but tightening debates continue), and the Polish grocery market remains extremely competitive on price. Żabka's micro-convenience model insulates it from much of the competition in the broader grocery market — only around 30% of its assortment is also stocked by supermarkets. Nevertheless its scale (6% share of the food market) is much smaller than the clashing discounters Biedronka (28% market share, part of Jeronimo Martins), Lidl (15.5% market share, private — not covered) and Dino (9% market share). Third, the difficulty of crossing borders itself: while Żabka reports that its c.200 Romanian stores now have comparable transaction frequency to its Polish stores, their average basket value is lower. Furthermore, Żabka entered the Czech Republic in 2008 and retreated in 2011. In a market where even Eastern Europe's best modern CVS stumbled next door, what can a minority shareholder in Tokyo actually move? The direction is right. But this deal lifts our Global Growth score only when terms are disclosed and execution evidence — accelerated Romanian openings, concrete joint procurement and private-brand work — arrives. Until then, the score stays where it is.

5. EXECUTION — CORE MULTIPLIER — SCORE 3 (×1.0)

Execution splits cleanly between Japan and overseas. Domestically, SEJ has set the industry standard, but the very success formula that built that position has become the constraint on the next phase. Overseas, the gap between "largest North American chain by store count" and "brand customers most want to visit" is not closing, and customer satisfaction remains below the industry average. Management recognizes the issue and is driving reform, but the execution track record has not yet accumulated.

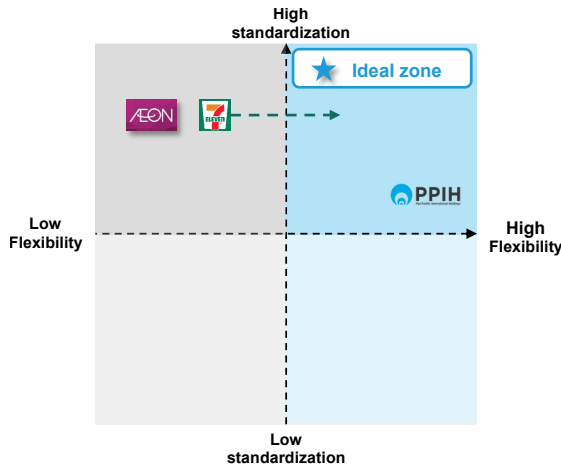
On domestic execution, the operating system that SEJ built in the 1970s–80s — POS-driven demand forecasting, the chilled-chain supply network, and systematic store guidance via OFCs — worked because franchisees could directly observe the link between following the system and improving daily sales, creating a self-reinforcing loop. This mechanism enforced execution discipline across thousands of stores simultaneously and lifted SEJ into the position of a world-class CVS operator.

The problem is that the same top-down success architecture now produces organizational rigidity. On Chain Store Operations (standardized operations applied uniformly across all stores), SEJ remains a top performer in the industry. But the transition to Individual Store Management (responsive, locally attuned decision-making at the store level) is structurally constrained by the centralized philosophy. A past strength turning into the constraint of the next phase — this is the core of the execution challenge SEJ now faces (Exhibit 22).

The international execution gap is the more fundamental issue. In the inaugural 2024 ACSI (American Customer Satisfaction Index) Convenience Store Study, 7-Eleven scored 75 (Exhibit 23) — below the industry average of 76 and seven points behind category leader Wawa (82), with QuikTrip (81) and Buc-ee's (80) close behind. The 2025 study showed no structural improvement: 7-Eleven trailed category leader Kwik Trip (84) by a wide margin and took regional first place only in the West — itself a low-scoring region. The gap between "largest North American chain by store count" and "brand customers most want to visit" is not closing. In Asian licensed-franchise markets, execution variance is even more pronounced — "7-Eleven" as a brand refers to materially different store experiences depending on the country.

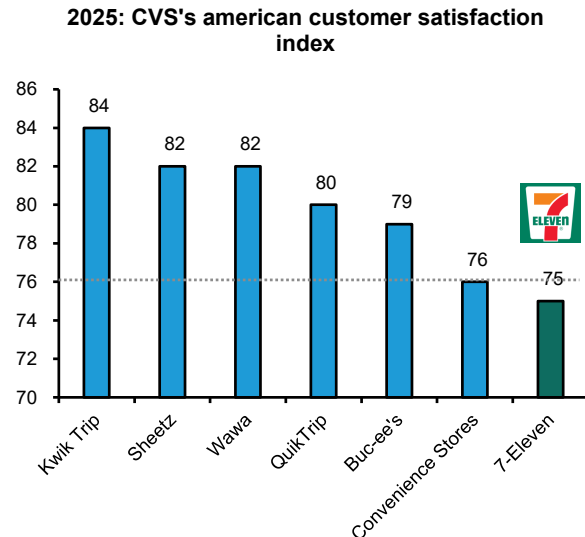
Management recognizes the challenge, with CEO Dacus pushing company-operated store quality improvements and a "food destination" strategy. But a proven track record for this type of transformation at scale does not yet exist. Raising the execution multiplier above 3 (i.e., turning it into an amplifier of the other scores) would require specific, demonstrable execution to accumulate over the coming quarters. At present, the direction of reform is correct but results have not yet materialized — which supports a score of 3.

EXHIBIT 22: SEI's highly standardized system, built in the 1970s-80s, has become a burden on moving to the next phase of execution flexibility



Source: Company reports, Bernstein analysis.

EXHIBIT 23: SEI's scale leadership has not translated into customer satisfaction



2024: [24oct_convenience-stores-STUDY_FINAL-REVISED-2.pdf](#) / 2025: [25oct_convenience-stores-STUDY-FINAL.pdf](#)

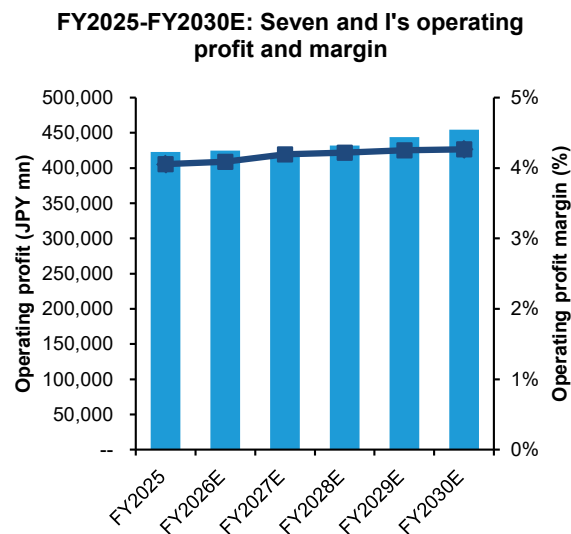
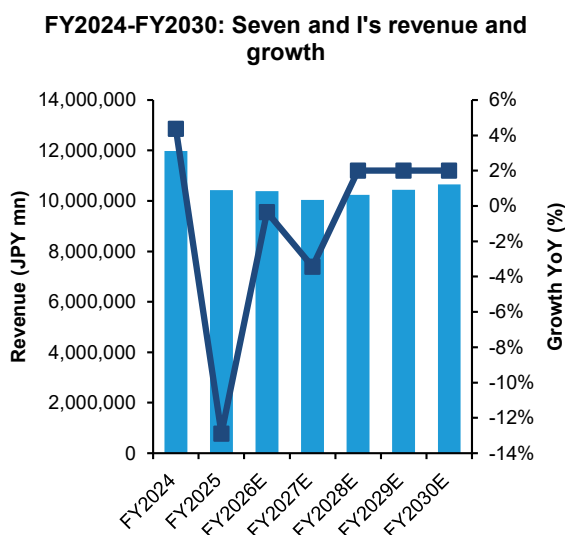
Source: ACSI, Bernstein analysis.

MODEL FORECAST

The company reported 1QFY26 and updated the full year guidance ([link](#)). The updated guidance reflects strong fuel price in 1H and our updated model has reflected that. FY2027 we have incorporated a modest decline to reflect potential moderation of fuel prices. We forecast FY2028-FY2030E like-for-like growth at roughly inflation levels, or around +2% (Exhibit 24). Japanese CVS faces the twin headwinds of structural saturation and stagnating footfall, and positive SSSG has been driven by higher ticket size rather than traffic recovery. North America similarly lacks a clear growth engine — recent recovery has concentrated in food-forward formats that are not representative of the broader business. SEI's same-store sales declined 0.4% in FY2025, prompting management to postpone the North American IPO from the original 2026 second-half target to fiscal year 2027 at the earliest. This decision itself confirms that concerns over North American growth are recognized internally at the company.

We also expect no meaningful margin improvement (Exhibit 25). In FY27 we have baked in modest operating profit decline, to reflect weaker fuel. Unfavorable traffic trends, limited pricing power beyond inflation, and an increasingly competitive operating environment structurally weaken the case for margin recovery. The company remains strong in absolute terms, but its growth trajectory is clearly decelerating, and we see no clear catalyst for acceleration. FY2026E OP of ¥405.7bn (-4.1%) grows at roughly +1.8% p.a. thereafter, with OPM effectively flat at around 4.2%.

EXHIBIT 24: **We forecast Seven & i's topline to grow inline with inflation** EXHIBIT 25: **We expect Seven & i's margin to remain flat**



Source: Company reports, Bernstein estimates and analysis.

Source: Company reports, Bernstein estimates and analysis.

Capital returns: ¥1.0tn vs. management guidance of ¥1.4tn plus ¥300bn from SoftBank and several hundred billion for Zabka

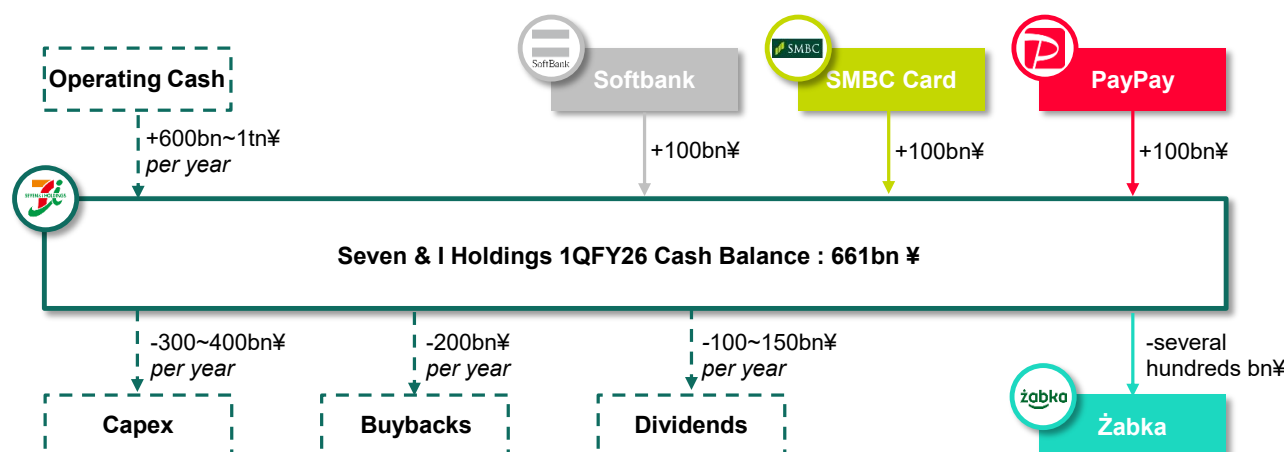
The company announced a ¥2tn share buyback program in 2025, of which approximately ¥600bn has already been executed. Based on operating cash flow of ¥600bn-1tn annually and FCF of ¥300-400bn after capex, we assume the company allocates ¥200bn per year to buybacks and ¥100-150bn to dividends (Exhibit 27).

This implies cumulative buybacks of roughly ¥1.0tn over the next five years — below the ¥1.4tn guided by management — and a reduction in shares outstanding of approximately 25% (Exhibit 28). Our below-guidance assumption reflects a conservative read of cash flow during the restructuring period, and the risk that North American growth investment takes higher priority than currently assumed.

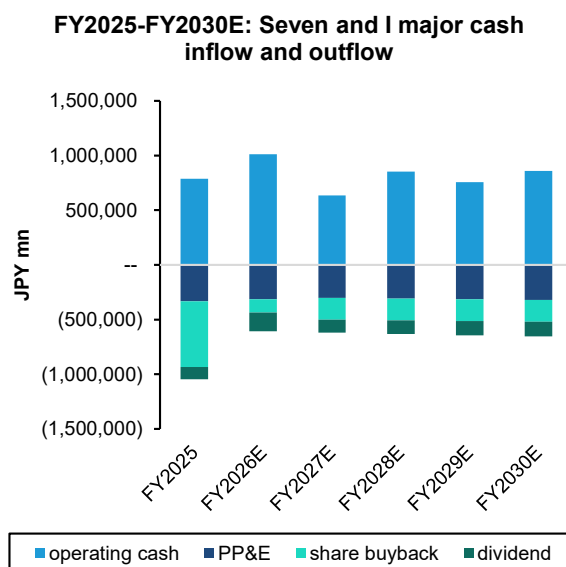
We have not factored the separate listing of the North American business into our estimates. First, timing remains uncertain: the company announced in April 2026 that the IPO has been delayed from the original 2026 second-half target to fiscal year 2027 at the earliest, citing unfavorable market conditions and softening consumption trends at SEI. Second, the net EPS impact is ambiguous: while reduced ownership in SEI would mechanically dilute parent-attributable earnings, the extent to which this is offset by the deployment of IPO proceeds — potentially for buybacks or debt reduction — remains unclear given the absence of specific management guidance on capital allocation post-listing. Rather than take a directional view on an event whose economic impact depends on variables not yet disclosed, we prefer to await clarity before reflecting it in our forecasts.

We apply the same discipline to the reported third-party allotment to the SoftBank coalition: not factored in. With issue price, size, and composition undetermined, we will reflect the dilution (c. 5.4% assuming ¥2,000/share) for Softbank and any impact on buyback pace together once terms are disclosed. We note that even if the full ¥300bn allotment were executed, net share reduction would be preserved within our buyback assumptions (c. ¥1.0tn cumulative over five years, below the ¥1.4tn guided) — but the signaling problem remains: a ¥2tn program that retires shares, running alongside an issuance that creates them.

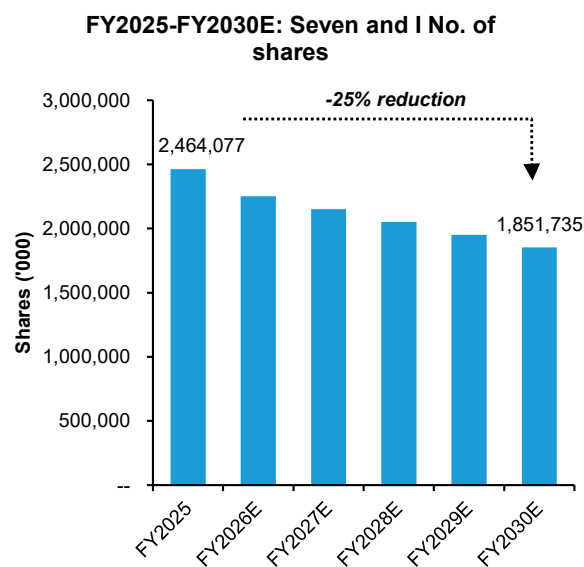
Seven & i is expecting a cash outflow of “several hundred billion yen” in connection with the planned acquisition of a minority stake in Žabka, assuming the transaction is completed on the terms currently communicated. This expenditure will mainly take the form of a one-off cash outflow from investing activities. The company ended 1Q FY26 with cash of around ¥661 billion, so depending on the timing of completion of the SoftBank and Žabka transactions, Seven & i should have the capacity to finance the Žabka deal with existing cash resources, although it cannot be ruled out that it will also partially resort to additional short-term debt financing. This potential deal is not reflected in our model given the details are not finalized yet.

EXHIBIT 26: Żabka acquisition likely financeable from existing cash resources, although partial short-term debt financing remains possible


Operating cash, capex, buybacks and dividends are Bernstein estimates.
Source: Company reports, Nikkei news, Bernstein estimates and analysis.

EXHIBIT 27: With free cash flow generated, we expect Seven & i to buy back ~200bn JPY shares every year....


Source: Company reports, Bernstein estimates and analysis.

EXHIBIT 28: ... resulting in 25% share reduction in the long run


Source: Company reports, Bernstein estimates and analysis.

We have updated our model to capture stronger fuel margins in 1H, followed by a contraction in operating profit in 2H as fuel related COGS rise. For FY27, we incorporate a modest decline in both operating profit and net profit, reflecting an expected moderation in fuel prices. As a result, we are broadly in line with consensus on EPS.

EXHIBIT 29: **Seven & i: Bernstein vs. Consensus.**

Seven & i: summary of estimate	FY2/26	FY2/27	FY2/28
Revenue (JPY mn)			
Bernstein	10,394,572	10,036,748	10,237,754
Growth YoY	-0.3%	-3.4%	2.0%
Consensus	10,310,084	10,255,417	10,260,785
Growth YoY	-12.7%	-0.5%	0.1%
Bernstein vs. consensus	0.8%	-2.1%	-0.2%
Operating income (JPY mn)			
Bernstein	424,912	421,181	431,768
Growth YoY	0.5%	-0.9%	2.5%
Margin	4.1%	4.2%	4.2%
Consensus	419,365	431,715	454,803
Growth YoY	3.6%	2.9%	5.3%
Margin	4.1%	4.2%	4.4%
Bernstein vs. consensus	1.3%	-2.4%	-5.1%
Net income (JPY mn)			
Bernstein	278,723	270,393	277,804
Growth YoY	-6.8%	-3.0%	2.7%
Margin	2.7%	2.7%	2.7%
Consensus	273,814	268,450	284,643
Growth YoY	59.5%	-2.0%	6.0%
Margin	2.7%	2.6%	2.8%
Bernstein vs. consensus	1.8%	0.7%	-2.4%
EPS (JPY)			
Bernstein	122	123	133
Growth YoY	2.4%	1.5%	7.8%
Margin			
Consensus	120	122	135
Growth YoY	0.9%	1.5%	11.2%
Margin			
Bernstein vs. consensus	1.5%	1.5%	-1.6%

Source: Company reports, Bernstein estimates and analysis.

VALUATION

We rate Seven & i Market-Perform with a target price of ¥2,100, implying approximately 1% upside potential. We apply the historical average P/E of 17x to our NTM+1 EPS. Given the mediocre, industry-level growth outlook and the lack of near-term catalysts, we see limited room for multiple re-rating and apply neither a premium nor a discount to the historical average.

The ACT takeout floor: structural source of downside price support

The core reason we do not recommend Underperform despite weakening fundamentals is that the prior takeout proposal establishes a de facto equity floor. In August 2024, ACT submitted an initial proposal at US\$14.86/share (approximately ¥2,200/share, ¥6tn in aggregate). Following Seven & i's rejection, ACT raised the offer in October to US\$18.19/share (approximately ¥2,700/share, ¥7tn in aggregate) — which, if consummated, would have represented the largest foreign acquisition of a Japanese company. The parties signed an NDA and conducted limited due diligence by April 2025, but in July 2025 ACT formally withdrew, citing insufficient constructive engagement, regulatory and structural hurdles, and Seven & i's preference for a standalone path.

This ¥2,700 per share level remains anchored in the market's memory as "the price an independent strategic buyer was willing to pay." Applying a 30-40% discount to reflect deal-execution risk, regulatory uncertainty, and the passage of time implies a floor of ¥1,900-2,000 per share — broadly consistent with current trading levels. Our PT of ¥2,100 sits at the upper bound of this floor range, reflecting not only our fundamental analysis but also, in part, the embedded option value of a potential re-approach already priced in by the market.

Itochu / founding family domestic restructuring scenario

The M&A dynamic here is not limited to foreign bidders. In November 2024, Seven & i's founding family proposed a counter-MBO to ACT, and approached Itochu Corporation — parent of Familymart — as a strategic partner. In January 2025, reports indicated Itochu was considering a ¥1tn investment (approximately 10% stake in a ¥9tn total MBO), publicly confirmed by Itochu's CFO in February 2025. The MBO collapsed later that month — but this "failure" proved to be a point of departure rather

than termination. Itochu has since shifted to a progressive approach, gradually deepening its engagement with Seven & i from the periphery.

Two concurrent developments confirm this approach is in execution. First, Itochu acquired a 16.35% stake in Seven Bank in October 2025, becoming the second-largest shareholder with stated intention to raise its holding up to 20%. The planned Seven Bank ATM rollout across Familymart's store network will create a combined network of roughly 44,000 units — the largest in Japan — marking the substantive launch of operational cooperation in the financial domain. Second, Itochu's full consolidation of Itochu Shokuhin in October 2025 is accelerating the redefinition of Familymart from a "standalone CVS subsidiary" to a "core strategic asset of the Itochu group", and can be read as preparation for deeper next-stage engagement with Seven & i — potentially joint procurement, logistics, and private-brand development.

Our interpretation: Itochu has chosen a progressive absorption strategy — starting with capital participation in Seven Bank and expanding across financial services, logistics, and product development — rather than a frontal acquisition. This pathway sidesteps antitrust concerns while substantively deepening cooperation between the two largest CVS players, reinforcing our neutral thesis that domestic CVS restructuring is not theoretical but already in progress. We therefore identify two independent sources of asymmetric upside risk — (1) a revived foreign approach from ACT-type bidders, and (2) progressive domestic restructuring led by the Itochu / founding-family coalition — which function cumulatively. This dual optionality structure is precisely what makes a short recommendation structurally difficult.

The SoftBank lid: friendly capital as conditional defense

Should the investment talks reported on July 10 result in a deal, a new variable enters the optionality structure discussed in this section.

Its mechanism is simple: **it adds a stakeholder**. Both the takeout floor (an ACT-type foreign buyer) and the Itochu scenario (progressive absorption) were paths that ran through persuading Seven's board and shareholders. A SoftBank coalition entering via third-party allotment inserts a third party into that equation — any acquirer must now get past an anchor that entered at the allotment price and accepted dilution to be there. A friendly holder lowers the probability of activation for both of the upside scenarios we have described.

Two reservations attach to this defense. First, **the lid is conditional**. It holds only if the partnership delivers in execution. If AI implementation fails to produce tangible improvement in franchise-store economics, the stock falls, the coalition's cohesion loosens, and the shelved takeover scenarios regain reality — the deal does not extinguish takeout optionality; it places it in suspension, conditional on execution. Second, **existing shareholders pay for the defense**. In contrast to KDDI, which entered Lawson by paying existing holders a premium of roughly 30%, this deal issues new shares — c. 5% dilution (c. 5.4% assuming ¥2,000/share; price-dependent) forced onto existing holders. A company running a ¥2tn buyback through FY2030 — roughly 40% of its market cap — would simultaneously issue ¥300bn of new shares. Against this capital-policy self-contradiction, management bears the burden of proving that partnership value exceeds the dilution.

The Żabka test: the buyback covenant meets growth reality

If the SoftBank coalition made the downside lid conditional, Żabka made the upside proof conditional. The direct impact on our PT of ¥2,100 (17x NTM+1 EPS of ¥124) is neutral at this stage. A double-digit minority stake contributes marginally even under the equity method (hypothetically, 25% of Żabka's PLN 1bn-plus net profit is roughly ¥10bn a year, or c. ¥4 of EPS — broadly offset by the opportunity cost of the consideration), and combined with c. 5% dilution from the SoftBank allotment, none of it moves the center of gravity of the valuation. **What moved is not the numbers but the location of the risk.** The axis of this stock's assessment used to rest on capital-policy optimism — execution of the ¥2tn buyback, funded in part by the SEI IPO. This week moved the axis to proof of execution: can the SoftBank partnership carry AI into core systems, can the Żabka stake actually generate European growth, and can the buyback pace hold while both run. The company maintains its ¥1.4tn guidance unchanged; but with the North American IPO delayed — pushing back a pillar of the funding — while capital commitments (Żabka, refurbishments) firm up first, the asymmetry is the reason we hold our conservative buyback assumption of ¥1.0tn cumulative over five years. In EPS-bridge terms: buyback-driven EPS growth still accounts for the majority of our forecast, and **in a scenario where buybacks slow to ¥1.0tn, FY2030 EPS takes a hit of roughly 6–7%** — equivalent to c. ¥130–150 on our PT. Conversely, favorable Żabka terms (low premium, funded from cash, with options for further purchases) alongside the full ¥1.4tn would create upside room. Terms disclosure is the next valuation event.

For valuation, we treat this with the same discipline as the North American IPO: **not factored in**. With issue price, size, and composition (including the form of PAYP and SMCC participation) undetermined, we will not reflect directionality alone in our estimates; we will reflect dilution and buyback-pace effects together once terms are disclosed. Our PT of ¥2,100 is unchanged,

and so is its meaning — the current share price is explained as fundamental value plus optionality that has not yet fully faded.

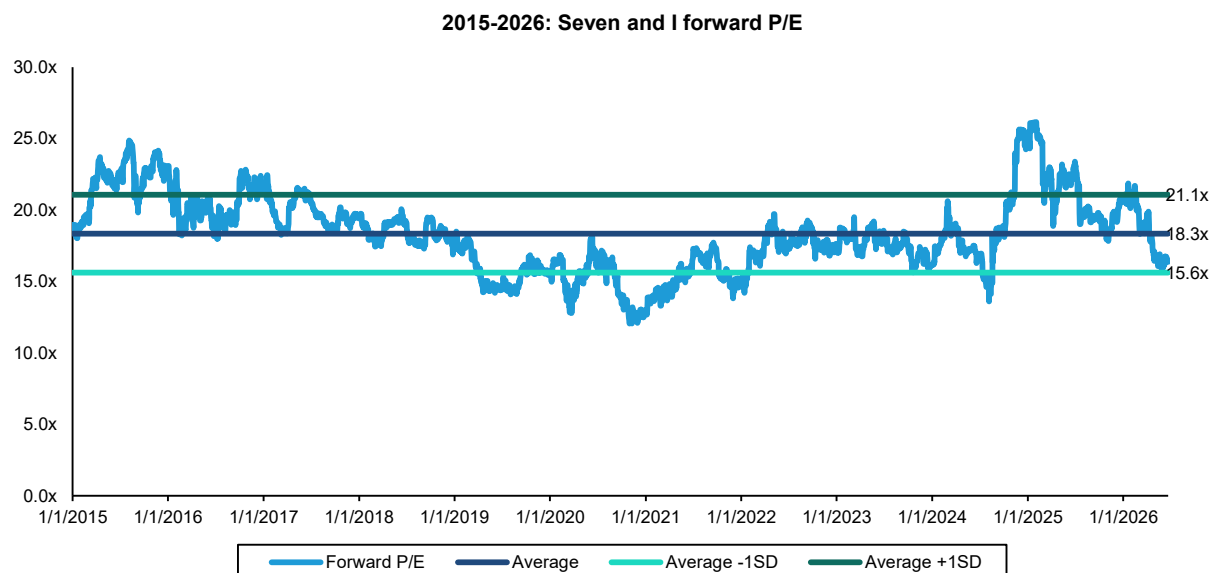
CONCLUSION

Seven & i operates in an asymmetric risk environment where weakening fundamentals coexist with embedded takeover optionality. A long call is difficult given the absence of near-term catalysts and the low probability of fundamental improvement; a short call is equally difficult given the asymmetric upside risk from a revived ACT-type approach or Itochu-led domestic restructuring. Into this structure, the past week introduced two variables. The SoftBank coalition is a lid on the downside — but a conditional one, closing only on successful execution. Žabka is a story for the upside — but one whose pricing should wait for terms disclosure and proof of governance. And both draw on the same wallet as the ¥2tn buyback. **Prove all three at once — defense, growth, returns — and this stock gets re-rated as an independent company. Drop any one, and the assessment reverts to takeover probability math.** We recommend remaining on the sidelines until either a credible buyer emerges or the takeover optionality fully fades — including through confirmed successful execution of the SoftBank partnership and the Žabka investment. Market-Perform, PT ¥2,100.

For Žabka, this is close to a pure tailwind. Its value as an unexpected catalyst is twofold: operating capability from the world's largest CVS operator to accelerate the multi-country expansion (c. 200 stores in Romania today, against a long-run market capacity of 7,500), and the vote of confidence underwrites management's ambition to “expand into new countries”. At the same time, a structure in which Seven takes shares off the PE consortium directly lightens the 52%-free-float overhang. The risk, if any, is that Seven's involvement as a minority shareholder fails to deliver the expected execution support — but that is less a downside risk for Žabka than a burden of proof for Seven. Outperform, PT PLN 30, maintained.

For SBG, The Seven investment sits at the SoftBank Corp/PayPay/SMCC layer, leaving SBG's own wallet untouched. What it stands to gain is unchanged: the missing bottom layer of the Physical AI stack Masayoshi Son has been assembling — OpenAI the brain, ABB the body, Arm and Ampere the compute — namely a 22,000-store laboratory where AI meets the physical world daily, at scale, and gets graded. The Žabka deal sits outside the coalition's scope, but carries one indirect implication: if Europe consumes Seven's capital and management bandwidth, the speed of AI implementation — the very thing that determines this partnership's value — is affected too. If it works, convenience-store shelves produce the most everyday, falsifiable evidence for SBG's AI thesis. If it fails, what is lost is a subsidiary-layer allotment ticket. As long as that asymmetry holds, our constructive view on SBG is unchanged. Outperform, maintained.

EXHIBIT 30: Seven & i historical P/E



Source: Bloomberg, Bernstein analysis.

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 31: Seven & i: Income Statement

Seven & i. - Income Statement (in JPY million, unless otherwise stated)						
	FY2025	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Revenue	10,430,269	10,394,572	10,036,748	10,237,754	10,442,781	10,651,909
Cost of sales	7,300,235	7,232,503	7,238,274	7,412,639	7,318,240	7,374,738
Gross profit on sales	3,130,034	3,162,068	2,798,474	2,825,116	3,124,541	3,277,170
Operating revenues	1,536,575	1,487,228	1,621,283	1,630,439	1,536,575	1,487,228
Gross profit from operations	3,130,033	3,108,280	3,001,281	3,061,388	3,122,697	3,185,232
Total SG&A	(2,707,037)	(2,737,157)	(2,377,293)	(2,393,348)	(2,680,632)	(2,822,838)
Operating Profit	422,997	424,912	421,181	431,768	443,909	454,333
Finance costs and others	11,572	(28,505)	(34,905)	(34,905)	(34,905)	(34,905)
Profit before taxation	434,569	396,406	386,276	396,863	409,004	419,428
Income tax	(135,472)	(117,683)	(115,883)	(119,059)	(122,701)	(125,828)
Net Profit	299,097	278,723	270,393	277,804	286,303	293,599
Profit attributable to:						
Equity shareholders of the Company	292,767	274,037	265,707	273,118	281,617	288,913
Non-controlling interests	6,330	4,686	4,686	4,686	4,686	4,686
Dilutes EPS (JPY)	119	122	123	133	144	156
W.A. shares outstanding (mn)	2,464,077	2,251,735	2,151,735	2,051,735	1,951,735	1,851,735

Source: Company reports, Bernstein estimates and analysis.

EXHIBIT 32: Seven & i: Balance Sheet

Seven and i. - Balance Sheet (in JPY million, unless otherwise stated)						
	FY2025	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Cash and bank deposits	438,634	695,845	596,679	698,323	690,120	769,324
Trade and other receivables (net)	333,890	356,398	460,485	407,900	466,868	422,531
Inventories	223,398	227,725	192,361	199,434	220,371	236,503
Others	496,621	541,336	541,336	541,336	541,336	541,336
Total Current Assets	1,492,543	1,821,303	1,790,862	1,846,992	1,918,694	1,969,693
Property, plant and equipment	4,497,965	4,502,269	4,398,167	4,309,465	4,234,896	4,173,313
Intangible assets and goodwill	2,469,025	2,482,715	2,482,715	2,482,715	2,482,715	2,482,715
Investments and other assets	683,414	675,489	675,489	675,489	675,489	675,489
Total assets	9,142,947	9,481,776	9,347,233	9,314,661	9,311,795	9,301,210
Accounts payable – trade	416,083	459,120	372,529	386,283	427,002	458,374
ST debt	581,693	364,283	364,283	364,283	364,283	364,283
Others	902,889	1,056,090	1,056,090	1,056,090	1,056,090	1,056,090
Total Current Liabilities	1,900,665	1,879,493	1,792,902	1,806,656	1,847,375	1,878,747
LT debt	1,648,323	1,901,912	1,901,912	1,901,912	1,901,912	1,901,912
Lease obligations	1,398,990	1,444,788	1,444,788	1,444,788	1,444,788	1,444,788
Others	546,773	554,634	554,634	554,634	554,634	554,634
Total liabilities	5,494,751	5,780,827	5,694,236	5,707,990	5,748,709	5,780,081
Shareholders' equity	2,634,255	2,621,330	2,573,378	2,527,052	2,483,467	2,441,510
Accumulated other comprehensive income	985,968	1,051,694	1,051,694	1,051,694	1,051,694	1,051,694
Others	27,968	27,918	27,918	27,918	27,918	27,918
Total Equity	3,648,191	3,700,942	3,652,990	3,606,664	3,563,079	3,521,122
Total Liabilities & Equity	9,142,947	9,481,774	9,347,231	9,314,659	9,311,793	9,301,208

Source: Company reports, Bernstein estimates and analysis.

EXHIBIT 33: Seven & i: Cash Flow Statement

Seven and i. - Cash Flow Statement (in JPY million, unless otherwise stated)						
	FY2025	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Net cash generated from operating activities	666,737	887,705	520,283	732,906	634,968	734,318
Net cash used in investing activities	(477,341)	(312,930)	(301,102)	(307,133)	(313,283)	(319,557)
Net cash used in financing activities	(1,109,878)	33,289	(318,345)	(324,130)	(329,888)	(335,556)
Exchange Gains (losses) on Net Cash	(3,185)	4,904	-	-	-	-
Total change in Cash	(923,667)	612,969	(99,165)	101,644	(8,204)	79,204
Cash and cash equivalents at period end	438,634	695,845	596,679	698,323	690,120	769,324
FCF (proxy)	363,407	605,381	243,614	450,207	346,118	439,194

Source: Company reports, Bernstein estimates and analysis.

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VALUATION METHODOLOGY**Seven & I Holdings**

We value Seven & I at 17x our NTM+1 EPS (¥124), with PT = ¥2,100

SoftBank Group Corp

For SoftBank, we apply a 30% discount to our one-year forward net asset value (NAV) of \$572bn, with a USD/JPY of 159.21, to derive our PT of ¥11,200.

Zabka Group SA

We rate Zabka Outperform with target price of PLN 30. Our target price is based on an average of a PE (18x), EV/EBITDA (7x) and FCF yield (8%), on our NTM+1 estimates.

RISKS**Seven & I Holdings****Downside risk:**

- Further deterioration of unit economics

Upside risks:

- Receiving acquisition bids
- Progressive execution through restructuring led by Itochu (trading house, parent of Familymart, Japan's #2 CVS chain)

SoftBank Group Corp

Downside risks to our price target for SoftBank include: (1) lower-than-expected valuation for Arm, driven by slower growth in its emerging AGI CPU business and limited market share gains in the server CPU segment; (2) potential market share loss at OpenAI amid intensifying competition; (3) execution risk in OpenAI's monetization strategy, particularly its ability to scale revenues to offset rising operating expenses and computing costs; and (4) financial stability risks, including potential credit-rating downgrades, stemming from continued large-scale investments in OpenAI and other strategic initiatives.

Zabka Group SA

Key risks: (1) Free float is 52%, with remainder owned by private equity and management. These parties must act in concert to sell down their stake; (2) Any disruption or loss of momentum due to upcoming CEO change; (3) Weaker consumer trading down from convenience

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

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The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIA) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

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- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

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Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, and the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments. Ratings are stated relative to the sector (not the market).

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- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/- 10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

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Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

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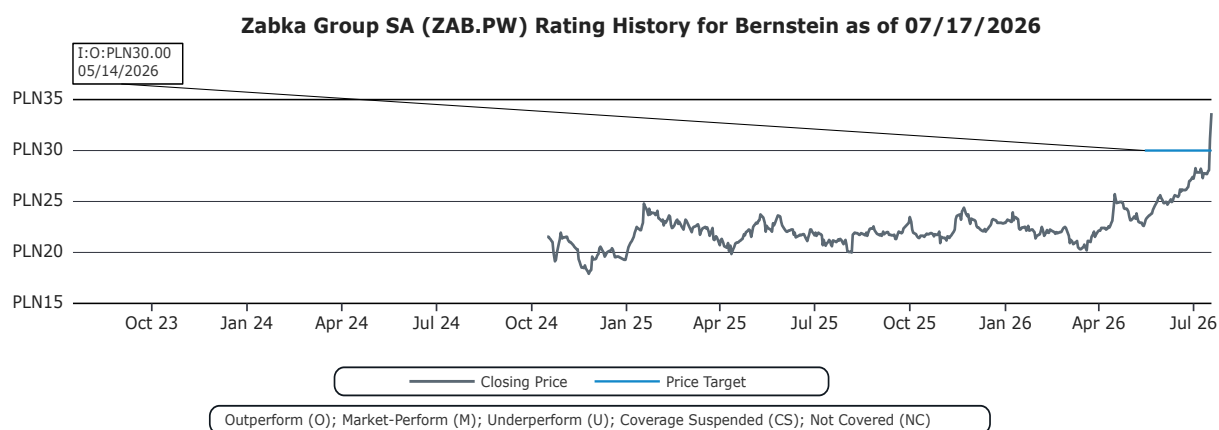
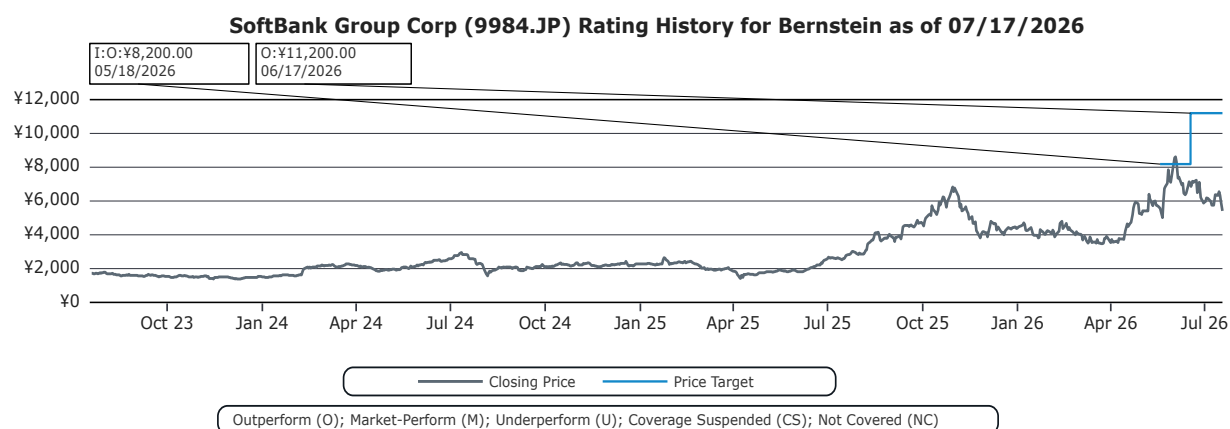
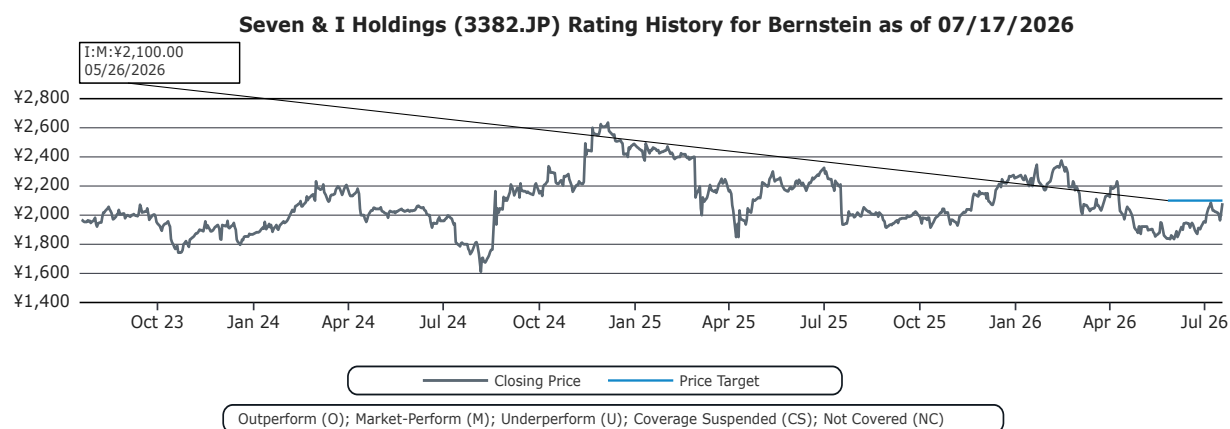
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